

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT'S RESPONSE TO RESPONDENTS' EXCEPTIONS TO THE INITIAL
DECISION**

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Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”), by and through its undersigned counsel, hereby files its Response to Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited’s (collectively, “OOCL”) June 23, 2026 Exceptions, Dkt. 153 (the “Exceptions”), to the Presiding Officer’s April 24, 2026, Initial Decision, Dkt. 143 (the “Initial Decision” or “ID”).¹

INTRODUCTION AND SUMMARY OF ARGUMENT

Unable to identify a single finding that the Initial Decision got wrong, OOCL substitutes volume for substance, recycling arguments the Initial Decision already rejected, misstating the record, and impugning the tribunal that ruled against it. On each point challenged by OOCL’s Exceptions, the Initial Decision is well reasoned and supported by the record, and the Federal Maritime Commission (the “FMC” or “Commission”) should reject each of OOCL’s Exceptions.

First, the applicable standard of review disposes of most of the Exceptions at the threshold because the Commission adopts findings that are “well-reasoned and supported by evidence in the record,” as those in the Initial Decision are. **Second**, the Commission unquestionably has jurisdiction over this action and BBBY’s statutory claims under the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), and OOCL’s jurisdictional arguments and demand for a hearing fail. **Third**, the Presiding Officer properly considered industry veteran John McCown’s expert report—subjecting it to line-level scrutiny, crediting only what the record independently confirmed, and in places adopting OOCL’s own experts’ numbers—while OOCL’s experts **never** challenged McCown’s damages calculations. **Fourth**, OOCL’s demand to reopen discovery and “double counting” theory fail because the facts and law support BBBY’s

¹ Unless otherwise specified, all defined terms herein take on the same meaning as in the Initial Decision. Citations to information in the record are contained in BBBY’s Appendix (“APP-____”). Abbreviations to the parties’ briefs are as follows: Revised Complainant’s Amended Opening Brief, Dkt. 129 (“Brief”), Revised Respondents’ Answering Brief, Dkt. 132 (“Opposition”), and Revised Complainant’s Reply to Respondents’ Opposition Brief, Dkt. 136 (“Reply”).

damages calculations. *Fifth*, the Initial Decision applied the correct causation standard and correctly found causation, and OOCL cannot spin COVID-19 pandemic-era market disruptions—which OOCL exploited to unprecedented financial benefit—into an untimely causation defense. *Sixth*, OOCL’s Count I Exceptions are a near-verbatim copy-and-paste of an argument already presented to (and specifically rejected by) the Presiding Officer, and the Initial Decision properly deemed OOCL’s made-for-litigation “booking analyses” to be not credible and outweighed by reliable evidence to the contrary. *Seventh*, the Initial Decision’s retaliation findings rest not on any credibility contest, but instead on OOCL’s own contemporaneous written words: OOCL’s 17% MQC cut targeted BBY, and its belated solvency rationale is nothing but pretext.

Rather than grapple with substance, OOCL launches a series of uncivil *ad hominem* attacks against the Presiding Officer, Chief Administrative Law Judge Erin Wirth. OOCL derides the Presiding Officer’s “illogical conclusions” (Exceptions at 43), accuses her of “generally adopting fatally defective opinions” (*Id.* at 14), and charges that her decision rests on “bizarre and misguided logic” and reflects “a complete lack of understanding of the industry the FMC purports to regulate” (*Id.* at 16). OOCL also (falsely) faults the Presiding Officer for supposedly accepting causation “in a single conclusory sentence” (*Id.* at 24) and for having “completely ignored” analyses that the Initial Decision *expressly addressed* (*Id.* at 42). These hollow attacks, raised along the same lines as OOCL’s collateral case against the Commission in the U.S. District Court for the Southern District of Texas, fail to challenge a well-reasoned Initial Decision after an outcome that OOCL simply does not like. The Exceptions are also replete with demonstrably false statements, ignoring the Presiding Officer’s previous admonition to ensure candor with the tribunal.²

² Regarding the credibility of OOCL’s representations, in the related proceeding U.S. District Judge Charles Eskridge recently observed: “Indeed, it is quite suspect, in that the undersigned has no assurance that a credible and accurate statement of the subject proceedings has been provided.” Order Denying Reconsideration at 1, *Orient Overseas Container Line Limited v. United States*, Case No. 4:26-cv-03606 (S.D. Tex. May 14, 2026), ECF No. 12.

LEGAL ARGUMENT IN OPPOSITION TO THE EXCEPTIONS

I. Standard of Review

Pursuant to 46 C.F.R. Section 502.227(a)(6), “[w]here exceptions are filed to, or the Commission reviews, an initial decision, the Commission, except as it may limit the issues upon notice or by rule, will have all the powers which it would have in making the initial decision.”

The Commission generally reviews initial decisions of its Administrative Law Judges *de novo*, but in doing so, adopts their findings of fact and law where “they are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, FMC Dkt. No. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014) (reviewing administrative law judge’s decision on default).

As detailed herein, the Initial Decision is well reasoned and adequately supported on each of the points raised in OOCL’s Exceptions.

II. The Commission Has Jurisdiction Over the Present Claims and the Commission Should Reject OOCL’s Exceptions Raised on Jurisdictional Grounds.

A. Case law firmly establishes the Commission’s subject matter jurisdiction.

OOCL’s assertion that the Commission lacks jurisdiction over BBY’s purported “breach of contract” claims is contrary to well-settled law. Despite devoting seven pages to this now-frivolous argument, OOCL fails to distinguish the controlling authority, *MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025) (“*MSC*”).³ In *MSC*, the U.S. Court of Appeals for the D.C. Circuit rejected a carrier’s argument that 46 U.S.C. Section 40502(f) deprived the Commission of jurisdiction over Shipping Act claims premised on service contracts. That is

³ OOCL does not even *cite* *MSC* in this section. OOCL’s failure to identify controlling authority directly adverse to its position raises candor concerns under Model Rule 3.3(a)(2), as well as comment 4 to Rule 3.3 (“A lawyer is not required to make a disinterested exposition of the law, but must recognize the existence of pertinent legal authorities”).

just what OOCL argues here, regarding claims that are essentially identical to the shipper's claims in *MSC*.

The D.C. Circuit acknowledged the “somewhat paradoxical” language of Section 40502(f), which provides that “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court”. *Id.* at 232. But the court explained that the Commission created a test in *Cargo One, Inc. v. Cosco Container Lines Co.*, FMC Dkt. No. 99-24, 2000 WL 1648961, at *12 (FMC Oct. 31, 2000), to weed out claims that were in essence breach of contract claims, even though they invoked specific Shipping Act provisions. *MSC*, 141 F.4th at 232. If challenged conduct involves “elements peculiar to the Shipping Act” and “raises issues beyond contractual obligations,” then it is properly before the Commission even if such conduct could also constitute a breach of contract; if, however, the complaint’s allegations “essentially compris[e] contract law claims”, then those claims are presumptively barred unless the complainant can demonstrate that the claim is “more than a simple contract breach claim”. *Id.* at 233 (quoting *Cargo One*, 2000 WL 1648961, at *14). The court assumed without deciding that the *Cargo One* test is consistent with the statute because the parties all embraced the test, as they do here. *MSC*, 141 F.4th at 233.⁴

The D.C. Circuit also expressly found that *Global Link Logistics, Inc. v. Hapag Lloyd AG*, FMC Dkt. No. 13-07, 2014 WL 5316345 (FMC ALJ April 17, 2014), a case OOCL relies on in its Exceptions, did not support the position that the Commission lacked subject matter jurisdiction.

⁴ OOCL argues that BBBY’s Count III does not raise the “extraordinary” allegations required by *Cargo One* to state a cognizable 46 U.S.C. Section 41104(a)(2) claim. Exceptions at 10-11 (quoting *Cargo One*, 2000 WL 1648961, at *15). OOCL does not explain this empty assertion, and the record supports the ID’s finding that BBBY rebutted the presumption of a breach of contract claim by providing “evidence . . . beyond allegations of breach of the service contract.” ID at 156. OOCL also fails to engage with the ID’s analysis that the “filed rate doctrine” may be violated by rate negotiations that themselves constitute an unreasonable practice under 46 U.S.C. Section 41102(c)—and that OOCL’s practice of coercing BBBY to enter into premium rate contracts was precisely such an unreasonable practice. ID at 155–56. Thus, the Presiding Officer correctly concluded Section 41104(a)(2) is an alternate ground for liability. ID at 157.

MSC, 141 F.4th at 234–35. Contrary to the ALJ’s decision in *Global Link*, the Shipping Act specifically contemplates statutory causes of action for improper conduct in connection with a service contract. Other Commission precedent confirms that Section 40502(f) does not bar claims stemming from a service contract when they allege systemic practices in violation of the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt. No. 02-04, 2006 WL 2007808, at *10–11 (FMC May 10, 2006) (if a complaint “alleges certain violations that are particular to the Shipping Act,” the Commission must address those allegations); *see also Samsung Elecs. Am., Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01, 2025 WL 2231637, at *29 (FMC ALJ May 28, 2025) (finding jurisdiction to hear claims stemming from a service contract).

As BBY has repeatedly emphasized throughout this proceeding, BBY’s claims are *not* “essentially” breach of contract claims. BBY alleged and proved a “systemic pattern and practice of misconduct that transcends one individual contractual dispute and claims statutory violations as to other shippers, too.” *MSC*, 141 F.4th at 233. As the ID found, OOCL *systemically* preferred higher-priced cargo, coerced surcharges, and used an unreasonable and unreliable space allocation system. ID at 126, 129–34, 143–45. These practices have nothing to do with the “particular terms of the service agreements, but rather compliance with the Shipping Act in the course of performance under the contracts.” *MSC*, 141 F.4th at 234.⁵

B. An oral hearing before the Presiding Officer was not required.

OOCL fails to support its Exception that an oral hearing was required, which OOCL bases on a misreading of the Shipping Act and cherry-picked portions of the Commission’s Rules of Practice and Procedure (the “Rules”). The Shipping Act provision OOCL contends creates an oral

⁵ Notably, OOCL did not file a motion to dismiss contending the Commission lacked jurisdiction. This is consistent with OOCL’s strategy, already rejected by Judge Eskridge in connection with OOCL’s belated Constitutional arguments, to participate fully in the Commission’s process and then, after receiving an adverse result, to attempt a collateral attack on the decision relying on untimely and baseless procedural arguments.

hearing requirement provides: “The Federal Maritime Commission shall provide an opportunity for a hearing before issuing an order relating to a violation of this part or a regulation prescribed under this part.” 46 U.S.C. Section 41304(a). That language is *expressly not equivalent* to a requirement to hold an *oral* hearing.⁶

First, as OOCL itself admits, “[t]here is no inexorable requirement that oral testimony must be heard in every administrative proceeding in which it is tendered.” Exceptions at 3 (citing *FDIC v. Mallen*, 486 U.S. 230, 247–248 (1988)). There is no “inexorable requirement” to take oral testimony because, as OOCL is aware but did not address in its Exceptions, the definitions in Rule 201 of the Commission’s Rules make clear that a *“hearing” can be based on a written record alone*, unlike an “oral hearing.” 46 C.F.R. § 502.201(b) (“The term hearing means a formal adjudicatory proceeding in which evidence is presented orally, *or through written statements*, or by combination thereof. The term oral hearing means a hearing at which evidence is presented through oral testimony of a witness.”) (emphasis added).

Because the text of the Shipping Act does not require oral hearings, OOCL instead seeks to argue that the “FMC Regulations” that “implemented” this statutory provision created an oral hearing requirement. Exceptions at 2. But those regulations include Rule 201(b), which specifically provides that the hearing requirement may be satisfied “through written statements” in lieu of an oral presentation.

Nor does Rule 202 of the Commission’s Rules provide a blanket right to an oral hearing:

Every party has the right to present its case or defense by oral *or* documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts. *The presiding officer, however, has the right and duty to limit the introduction of evidence* and the

⁶ Even if “hearing” did mean oral hearing, which it does not, it is not true that OOCL was denied the opportunity for an oral hearing. To the contrary, OOCL had repeated opportunities to seek such a hearing and elected not to.

examination and cross-examination of witnesses when, *in his or her judgment*, such evidence or examination is irrelevant, immaterial, or unduly repetitious.

46 C.F.R. § 502.202 (emphasis added). Rule 202 clearly cabins a party's right to present oral evidence with the ALJ's own "right" to exercise "judgment" to limit evidence that is repetitive, irrelevant, or immaterial and to provide a party the opportunity to present its case instead by "documentary" evidence. The Rule must be interpreted in a way that makes these two rights compatible, not contradictory. *See* A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 180 (2012) ("The provisions of a text should be interpreted in a way that renders them compatible, not contradictory. . . . [T]here can be no justification for needlessly rendering provisions in conflict if they can be interpreted harmoniously"). The Presiding Officer's actions in this proceeding model a reasonable, harmonious interpretation of Rule 202—permitting OOCL to present sworn oral evidence (extensive deposition testimony) but also exercising her discretion to limit oral evidence to the submitted deposition testimony. This process permitted the parties to submit written and oral evidence while opting against trial-type oral hearing sessions, and was fully consistent with both the Shipping Act and the Commission's Rules.

Commission history and practice further demonstrate OOCL's mistaken reading of the Shipping Act and the Rules. "In Commission proceedings, reparations are typically awarded without an oral hearing, on the basis of documentary evidence." *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Dkt. No. 21-05, 2024 WL 3514613, at *21–22 (FMC July 16, 2024), *aff'd sub nom. MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025) (Order Affirming Initial Decision on Remand) (rejecting carrier's argument it was entitled to oral hearing) (cleaned up). As OOCL acknowledges, the Commission's policy of avoiding "trial-type" oral hearings goes back almost half a century. *See* *Avoidance of Trial-Type Oral*

Hearings, Informal Statement of Policy, 17 S.R.R. 457 (FMC Mar. 23, 1977).⁷ It is common for Commission proceedings that featured no oral hearing, even where one or both parties requested such an oral hearing, to result in Commission orders affirming the initial decision.⁸ The Presiding Officer’s hearing and adjudicatory process complied with the Shipping Act, applicable Commission Rules, and Commission history and practice.

OOCL claims the Presiding Officer improperly “failed to determine” the necessity of an oral hearing in a written ruling before the ID (Exceptions at 2–3), but cites no authority for such a procedural requirement, and the cases cited above, in which no such hearing was held, had no such explicit written findings. All that Rule 62 of the Commission’s Rules requires is for the Presiding Officer to “determine *whether* an oral hearing is necessary”—which of course further underscores the illogic of OOCL’s argument that such a hearing is *required*. 46 C.F.R. § 502.62(b)(3) (emphasis added).⁹ To the extent a ruling on the request for oral hearing was required, the ID itself constituted that ruling. *See* ID at 118–19.

⁷ OOCL notes that the policy statement recognizes oral testimony and cross-examination may be necessary where “there are genuine issues of material fact that cannot be resolved on the basis of . . . documents or [where] the nature of the matters in issue is such that an oral hearing and cross-examination are necessary for the development of an adequate record.” Exceptions at 4. Here, the Presiding Officer was able to resolve disputed factual issues on the basis of documents and deposition transcripts. Circumstances and the nature of the case do not require an oral hearing to develop an adequate record: the thousands of pages in the record and the thirty-one depositions in the case were more than adequate. An oral hearing was not even held in the case that OOCL cites to support its proposition. *See Selbuy Int’l, Inc. v. Guardian Servs. Grp., Ltd.*, FMC Dkt. No. 01-04, slip. op. at 3–4 (FMC ALJ Apr. 5, 2002) (Initial Decision), Dkt. 22, *notice not to review issued* (FMC May 10, 2002) (parties’ direct cases consisted of briefs and exhibits, including deposition transcripts).

⁸ *See, e.g.*, Verified Compl., “Prayer for Relief” ¶ 1, *Bakerly, LLC v. Seafrigo USA, Inc.*, FMC Dkt. No. 22-17 (July 27, 2022), Dkt. 1 (one party requested an oral hearing); Verified Compl. ¶ VII.C., *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16 (Aug. 5, 2016), Dkt. 1; Verified Answer ¶ 58, *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16 (Sept. 6, 2016), Dkt. 7 (complaint requested oral hearing and respondent did not object); Verified Compl. at 9, *MSRF Inc. v. HMM Co., Ltd.*, FMC Dkt. No. 22-20 (Aug. 19, 2022), Dkt. 1; Answer at 9, *MSRF Inc. v. HMM Co., Ltd.*, FMC Dkt. No. 22-20 (Sept. 13, 2022), Dkt. 7 (both parties requested an oral hearing); Order Granting Joint Mot. to Extend Deadlines & Third Am. Sched. Order at 1–2, *Samsung Elecs. Am., Inc. v. Orient Overseas Container Line, Ltd.*, FMC Dkt. No. 24-17 (Mar. 23, 2026), Dkt. 127 (no hearing scheduled in ongoing proceeding).

⁹ Although OOCL cites examples of the Presiding Officer raising and disposing of the issue of an oral hearing, these examples do not amount to an established FMC practice. In any event, the Presiding Officer made that determination by not scheduling an oral hearing at any point before the initial decision deadline. Exceptions at 3. In other instances,

OOCL now claims that oral hearings are a token of “fundamental due process” (Exceptions at 3), but ***OOCL itself repeatedly proffered schedules that did not contemplate a single oral hearing day***. It was thus reasonable for the Presiding Officer to infer from OOCL’s own preferred timeline that OOCL did not want a trial-type oral hearing, much less consider such an oral hearing to be procedurally indispensable. Though OOCL requested an oral hearing in its initial Answer and its September 6, 2024 Answer to the First Amended Complaint, OOCL does not dispute that it failed to raise the issue again until its February 27, 2025 Opposition, where it submitted its argument in full on a written record.¹⁰ Nothing in OOCL’s Exceptions explains this years-long passivity, especially as the final two scheduling orders clearly signaled the Presiding Officer’s intention to make written submissions the exclusive format for presenting evidence.¹¹ *Cf. Richardson v. Perales*, 402 U.S. 389, 405 (1971) (“This inaction on the claimant’s part supports the Court of Appeals’ view . . . that the claimant as a consequence is to be precluded from now complaining that he was denied the rights of confrontation and cross-examination.”).

The lack of an oral hearing did not make this proceeding constitutionally defective.¹² Whether an oral hearing with live testimony is required by the Due Process Clause of the U.S. Constitution depends on the circumstances. *See Morrissey v. Brewer*, 408 U.S. 471, 481 (1972) (“due process is flexible and calls for such procedural protections as the particular situation demands.”). The circumstances here prove that OOCL’s *post hoc* due process claim lacks merit,

like the examples highlighted above, Commission ALJs have determined not to hold an oral hearing without explicitly ruling so (even when one or both parties requested such an oral hearing).

¹⁰ The oral hearing argument comprises one paragraph at the end of the Opposition, an afterthought to a longer section attacking the Commission’s constitutional legitimacy. *See* Opposition at 103.

¹¹ *See* 3rd Rev. Sched. Order at 2, Dkt. 44; Order on Am. Compl., Confid., & 4th Rev. Sched. Order at 6, Dkt. 62.

¹² OOCL appears to argue separately that the Presiding Officer violated the Administrative Procedure Act, but does not develop this argument. Exceptions at 6. The APA’s hearing procedure provisions do not apply to FMC proceedings. *See United States Lines, Inc. v. FMC*, 584 F.2d 519, 536–37 (D.C. Cir. 1978) (“While the exact phrase ‘on the record’ is not an absolute prerequisite to application of the formal hearing requirements, the Supreme Court has made clear that these provisions do not apply unless Congress has clearly indicated that the ‘hearing’ required by statute must be a trial-type hearing on the record.”).

where OOCL was able to submit, via its able counsel, extensive documentary evidence and rebuttal evidence, and the ID simply imposed monetary reparations.

Critically, OOCL was able to take or defend *thirty-one depositions*—representing more than 200 available hours for direct and cross-examination of party and non-party witnesses. That is far more time for witness examination than many participants in trial-type agency oral hearings are ever afforded. The Presiding Officer had good reasons to rely on the depositions rather than order duplicative trial-type testimony. The depositions, like a trial, were under oath, and the opportunity to depose a witness has been held to satisfy civil due process clause requirements. *See, e.g., Bhaghat Singh v. McGrath*, 101 F.2d 122, 123 (9th Cir. 1939) (allowing evidence to be obtained by deposition in deportation proceedings because cross-examination could have been accomplished by deposition).

OOCL is correct that the ID made credibility determinations. But the *only* credibility determinations material to the ID all related to evidence proffered by Karen Lam and other *OOCL employees*. The credibility determinations were not based on the demeanor or veracity of any witness, but instead on the Presiding Officer’s findings that (1) OOCL’s CSAL and IRIS-4 data are “unreliable”; (2) the slides at issue were “not consistent with other evidence found to be more credible”; and (3) OOCL’s *post hoc* analysis was not a contemporaneous record but rather was prepared for this litigation. *See* ID at 136. The affidavit of Karen Lam was found not to be credible because it was “not consistent with the contemporaneous evidence.” ID at 170. Because the credibility issues were with unsupported, self-serving documents and testimony created after the fact by OOCL’s own employees, no hearing was necessary for OOCL to challenge BBY’s credibility. Further, because data reliability issues and inconsistencies with more contemporaneous evidence were the key reasons for the ID’s credibility determinations, it is not the case that “the

credibility of the witnesses on those disputed facts was critical to how the [Chief] ALJ should resolve those disputed facts”. Exceptions at 4.

Four of OOCL’s six examples of “witness credibility and fact issues” were all dealt with via extensive deposition testimony. Accordingly, the ID resolved these facts based on testimonial as well as documentary evidence.¹³ And as noted, except for the self-serving and unsupported Lam and Glenn Metzger slides, the Presiding Officer did not make *specific* negative credibility determinations against OOCL. OOCL does not argue or outline what evidence in the record required cross-examination, and its allegations of harm are speculative and unsupported. The remaining two bullets of purported “witness credibility and fact issues” about David Kastin’s verification and McCown’s opinions are simply verification-related/*Daubert* arguments dealt with in the Presiding Officer’s December 6, 2024 order denying OOCL’s motion to strike the verification and in the section of the ID ruling on OOCL’s Motion to Exclude BBY Expert Witness McCown. *See* ID at 10–12, 183. Accordingly, given the ample evidentiary record supporting the ID’s credibility findings, as well as the full and fair opportunity the Presiding Officer afforded OOCL to argue and present its case, the Presiding Officer did not err in making those findings without an additional, cumulative oral hearing to supplement the substantial documentary and testimonial evidence in the record.¹⁴

¹³ *See, e.g.*, ID ¶ 208 (citing Patrick Hackett’s deposition testimony and contemporaneous email records to find that BBY did not voluntarily agree to PSS and premium contract/extra loader amendments because it felt it had no other choice if it wanted its goods moved); *id.* ¶¶ 253–60 (citing deposition testimony and contemporaneous documents to find that OOCL interpreted BBY’s October 2021 letter referring to Commission detention and demurrage guidance as a threatening letter); *id.* ¶¶ 273, 285 (citing internal OOCL emails and deposition testimony from OOCL employee Donna Forminio to find OOCL reduced the MQC of the signed 2022 service contract by 17% due to retaliation); *id.* at 183 (noting that OOCL received the data referenced in the Hill Declaration and asked witnesses about the data); *see also id.* ¶¶ 260–308 (citing a range of contemporaneous documents regarding retaliation).

¹⁴ Even if, for the sake of argument, an oral hearing *were* required by law or rule before making a credibility finding, any error would be harmless in light of the ample reliable evidence in the record supporting the ID’s findings. Any such hypothetical error would also be rendered a nullity if the full Commission were to hold an oral hearing on these Exceptions, as it is the Commission, not the Presiding Officer, which issues (or accepts, in the event of a notice not to review) the binding Final Decision in Commission proceedings.

C. OOCL’s major questions doctrine and nondelegation arguments fail.

OOCL’s major questions and nondelegation doctrine arguments are both factually and legally incorrect.¹⁵ In arguing that the ID “fundamentally alters the deregulated nature of commercial shipping and assumes . . . the power to pick and choose which private contracts (or amendments) may be *void ab initio*”, (Exceptions at 8), OOCL effectively asks the Commission to ignore Congress’s express commands. It asks the Commission to treat as a dead letter 46 U.S.C. Section 41102(c)’s “just and reasonable” requirement, which Congress preserved during deregulation and recently ratified and reaffirmed. *See generally* Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272 (2022). Congress expressly delegated authority to the Commission to adjudicate private proceedings enforce the provisions and protections of the Shipping Act. The Presiding Officer did nothing more than apply those Shipping Act provisions to the particular facts in this proceeding, and did not “claim[] to discover in a long-extant statute an unheralded power representing a transformative expansion in [the Commission’s] regulatory authority”. *W. Va. v. EPA*, 597 U.S. 697, 724 (2022) (internal quotations omitted).

The major questions doctrine stipulates that for “certain extraordinary cases”, an agency must point to “clear congressional authorization” for the power it claims when the history and the breadth of the authority that the agency has asserted and the “economic and political significance” of that assertion provide a reason to hesitate before concluding that Congress meant to confer such authority. *Id.* at 721, 723–24. BBY is not aware of any precedent finding an agency adjudicatory decision violated the major questions doctrine, which is primarily concerned with agency assertions of “highly consequential power beyond what Congress could reasonably be understood to have granted.” *Id.* at 742 (internal quotations omitted) (Gorsuch, J., concurring). The ID does

¹⁵ OOCL’s Exceptions to the ID’s findings and conclusions as to BBY’s Counts III and V claims should be rejected for the same reasons. *See* Exceptions at 47.

not assert a “power to void contracts” (Exceptions at 8) but merely fulfills its statutorily authorized function to award reparations for violations of the Shipping Act. A single award in a proceeding between two private parties is not “extraordinary” and not of the same “economic and political significance” as the agency rules involved in major questions doctrine cases. *See W. Va.*, 597 U.S. at 706 (EPA rule claiming power to require existing coal-fired power plants to reduce their electricity production or subsidize increased renewable generation); *Utility Air Regulatory Grp. v. EPA*, 573 U.S. 302, 310 (2014) (rule asserting power to regulate all greenhouse gases). Thus, the major questions doctrine is not applicable here.

OOCL’s nondelegation doctrine argument is premised on the false claim that Congress impermissibly delegated to the Commission a general power to “invalidate signed agreements” and that the Presiding Officer acted upon such impermissible delegation. Exceptions at 9. The actual delegations at issue are Congress’s delegations of adjudicatory powers, powers to award reparations for Shipping Act violations, and powers to make determinations about what practices are just and reasonable. These delegations clearly satisfy the “intelligible principle” test (*id.*). *See, e.g., Fed. Power Comm’n v. Hope Nat. Gas Co.*, 320 U.S. 591, 602 (1944) (upholding delegation to agency to determine “just and reasonable” rates a natural gas company could charge). As OOCL’s own cited case notes, the Supreme Court “has almost uniformly upheld delegations under standards phrased in sweeping terms”, and historically upheld “broad delegations”, a trend that has “persisted, even in more recent years”. *Allstates Refractory LLC v. Su*, 79 F.4th 755, 761–62 (6th Cir. 2023). OOCL also abandoned its nondelegation argument by failing to raise it below.¹⁶

¹⁶ OOCL briefly mentions “the agency’s ongoing reliance on ALJs that are unconstitutionally protected from removal”, (Exceptions at 6), but actions by officers whose offices are subject to unconstitutional removal restrictions are not void on that basis. *See* Defendants’ Response to Mot. Prelimin. Injunction at 5–6, *Orient Overseas Container Line Limited v. United States*, Case No. 4:26-cv-03606 (S.D. Tex. May 28, 2026), ECF No. 14. Furthermore, ***OOCL could have asked that the case be heard by an FMC Commissioner, who is directly removable by the President, but chose***

III. The Initial Decision Properly Considered the Expert Report of John McCown and the Commission Should Reject OOCL’s Exceptions on That Issue.

OOCL claims that the ID erred by failing to disqualify BBY’s liability expert, John McCown (Exceptions at 13–15), but (1) McCown’s expertise stands for itself and was well reasoned and supported, (2) OOCL’s Exceptions fail to state what, if anything, was incorrect about McCown’s testimony or his damages calculations, (3) the ID carefully analyzed and weighed McCown’s report and rejected his specific opinions on multiple issues.

The Presiding Officer applied the governing evidentiary standard for Commission proceedings (i.e., 46 C.F.R. § 502.204; 5 U.S.C. § 556(d)), found McCown qualified (ID at 12), and—far from “generally adopting fatally defective opinions” (Exceptions at 14)—subjected his work to independent, line-level scrutiny, crediting only what the Presiding Officer verified in the record (ID at 190–92), declining to rely on McCown’s report where it did not independently support a claim (ID at 191–92), opting in places to use OOCL’s experts’ numbers instead of McCown’s (ID at 100–101), and rejecting McCown’s detention and demurrage analysis outright where the Presiding Officer deemed it unpersuasive (ID at 151).

First, McCown’s background, education, and work easily qualify him to provide expert testimony on the liability and damages issues in this proceeding, and the ID properly permitted McCown’s testimony and opinions as an expert while giving weight to such opinions as evaluated by the Presiding Officer with a discerning focus on the record facts. ID at 12 (“A skilled expert who is familiar with a variety of ways to calculate damages, who shows their work, and can clearly articulate the benefits and risks of different approaches helps both the parties and adjudicator. A

not to do so, entirely mooting their position. Instead, OOCL openly “forum shopped” its removal argument to the U.S. District Court for the Southern District of Texas. *See* Exhibit A, hereto at 22:19–24 (Mot. Hr’g Tr., *Orient Overseas Container Line Limited v. United States*, Case No. 4:26-cv-03606 (S.D. Tex. June 8, 2026) (“Candidly, Your Honor, when we evaluated the law tenant to this issue, the most fulsome case law, and that obviously favors our client, is here. It’s not in D.C. And so that is one reason. That may be a view of forum shopping”) (remarks of OOCL’s counsel)).

number of limitations with the expert analysis provided here are discussed in the reparations section. Those limitations impact the weight that can be given to some of the opinions but does not impact their admissibility.”).

Second, OOCL fails to make a single citation to McCown’s Expert Report, his testimony, or to the ID itself in challenging the sufficiency of his expertise and standards, or even identify any specific errors in the ID relating to McCown’s work. To raise errors for review by the Commission properly, exceptions must specifically identify claimed errors with record support: under 46 C.F.R. Section 502.227(a)(1), exceptions “shall indicate with particularity alleged errors, [and] shall indicate transcript page and exhibit number when referring to the record.” The Commission has held that a filing which “fail[s] to identify any findings of fact or issues of law” with which the party disagrees “does not constitute ‘exceptions’ because it fails to comply with the Commission’s particularity requirements set forth in 46 C.F.R. § 502.227(a).” *Nnabugwu Chinedu Andrew v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 20-12, 2022 WL 4482578, at *1 (FMC Sept. 22, 2022) (Order Affirming Initial Decision). Here, OOCL vaguely claims that the failure to exclude McCown “led not only to an unsupported decision on the merits, but it also led the ALJ to incorrectly adopt McCown’s calculations of reparations” without a **single citation** to the ID where any such reliance on McCown had an impact on the ID.

Third, OOCL’s arguments, especially as to damages, are also baseless, as: (1) OOCL’s own experts, Jensen and Steffen, did not challenge or take issue with McCown’s damages analysis, as noted in the ID (ID at 191), (2) the ID undertook a careful review of the damages calculations and reduced them not once but twice to conform the reparations award, not blindly to BBY’s arguments and McCown’s report, but instead to the factual evidence proffered and supported by BBY (ID at 191 n.19 (“McCown’s summary paragraph lists \$19,563,799.79 instead of

\$19,555,270.50”); ID at 191–92 (rejecting BBY’s peak season surcharge (“PSS”) calculations consistent with BBY Ex. 330)); and (3) the ID rejected McCown’s detention and demurrage benchmark calculations, finding that “neither expert provides a persuasive analysis regarding the rates” (ID at 151). Although OOCL takes issue with the ID’s application of Rule 702 of the Federal Rules of Evidence, it is well settled, as outlined in the ID, that *Daubert* gatekeeping is of minimal concern for bench trials, especially where the Presiding Officer performed an independent review of the sources relied upon and data incorporated by the experts to weigh and exclude certain opinions when deemed unsupported. ID at 12, 189–91.

OOCL’s attacks on BBY’s damages calculations as presented by McCown are also too late. The ID recognized that “OOCL has not questioned particular line items or the mathematics performed, although having both the data and opportunity to do so.” ID at 193; *see also Shipco Transp. Inc. v. JEM Logistics, Inc.*, FMC Dkt. No. 12-06, 2013 WL 9808695, at *3 (FMC Aug. 21, 2013) (Order Affirming Initial Decision on Default) (affirming an initial decision on default where respondent “first raised the defense after the Initial Decision had been issued and did not provide evidentiary support of his claim”).¹⁷

For these reasons, the ID gave proper weight and consideration to McCown’s report and the Exceptions on this issue must be overruled.

IV. OOCL’s Exceptions Premised on Its Request to Reopen Discovery or about Purported “Double Counting” Must Be Rejected.

The ID properly rejected OOCL’s Motion to Reopen Discovery. The Commission has made clear that an ALJ’s discovery rulings, including denials of a motion to reopen discovery, are

¹⁷ The ID elaborated: “OOCL does not present its own calculation of damages regarding PSS, extra loaders, or any other damages that may be due to BBY. OOCL has had access to all of BBY’s shipment data since BBY’s production of the foundational data documents early on in this proceeding. Further, OOCL has its own sources of BBY shipment data Thus, OOCL had every opportunity to engage with BBY’s PSS and premium contract/extra loader reparations calculations” ID at 193.

not reviewed *de novo* alongside the merits, but under the more deferential abuse-of-discretion standard. See *Marine Transp. Logistics, Inc. v. CMA CGM, S.A.*, FMC Dkt. No. 22-23, 2025 WL 1828626, at *7 (FMC June 27, 2025) (Order Affirming Initial Decision) (“[S]ome elements of the Decision at issue here are reviewed under an abuse of discretion standard. The Commission reviews discovery orders, including orders regarding sanctions, under that standard”). OOCL fails to demonstrate that the ID’s denial of the Motion to Reopen Discovery constitutes abuse of discretion. Indeed, the ID’s conclusions as to OOCL’s Motion to Reopen Discovery were extensive and well-founded. ID at 113.

As an initial matter, OOCL fails to cite any precedent or legal authority that it claims those conclusions violate. For example, OOCL asserts, incorrectly, that “the ID treats OOCL and all other defendants against whom BBY has brought claims as jointly and severally liable for all damages asserted by BBY.” Exceptions at 16. But OOCL pointedly fails to argue that doing so would be contrary to law. Indeed, OOCL’s arguments are misplaced and directed towards the merits of its liability. Exceptions at 17 (“the ID dispensed with BBY’s burden of proof and thereby prejudiced OOCL by saddling OOCL with all reparations BBY claims it is entitled to due to any and all ocean carriers with whom it may have contracted—without proof of causation *by OOCL*, which constitutes an arbitrary and capricious finding.”).¹⁸ Those arguments are thus meritless (as discussed elsewhere herein) and, as to the Motion to Reopen Discovery, inapposite and unsupported.

Accordingly, any of OOCL’s arguments as to the Motion to Reopen Discovery itself must be construed as fact arguments, as to which OOCL simply fails to identify any abuse of discretion.

¹⁸ To the extent OOCL’s reference to “BBY’s burden of proof” was intended to apply to the Motion to Reopen Discovery, that contention is misguided. Exceptions at 17. As discussed, it was OOCL’s burden to show its motion should be granted.

The best OOCL can do is an *ad hominem* attack: “indicating a complete lack of understanding of the industry the FMC purports to regulate . . . [r]elying on that bizarre and misguided logic” Exceptions at 16. Beyond those unnecessary and disrespectful statements, OOCL fails to explain *why* it even considers the Presiding Officer’s logic “bizarre and misguided” and instead simply moves on to its inapposite merits arguments. OOCL does not engage with, much less show abuse in, the Presiding Officer’s conclusions that: (1) “it is not clear that the information sought would be relevant to determination of a material issue”; (2) “the motion to reopen discovery is not timely”; (3) “OOCL’s arguments regarding the one satisfaction rule and prohibition of double recovery do not apply to this proceeding”; and (4) “there has not been any recovery in any of the BBY cases before the Commission, so there is no risk of double recovery in this proceeding.” ID at 13. OOCL thus fails to provide any basis for the Commission to reverse the ID’s denial of the Motion to Reopen Discovery.

Notably, BBY’s approach to reparations in this proceeding was to use containers of BBY cargo that *actually shipped* on the lanes that were supposed to be covered by OOCL during the relevant time period. Because no reparations have yet been awarded to BBY for cargo space shortfalls in any other cases, there is no risk of double recovery and, as the Presiding Officer correctly concluded, OOCL’s Motion to Reopen Discovery is premature. Nor does OOCL dispute that BBY actually paid for these shipments on lanes supposed to be covered by the OOCL service contracts. Even if recovering reparations from OOCL here were to create a double recovery issue in other cases, that issue would only arise *if, after* recovering reparations from OOCL, BBY *subsequently* recovers shortfall damages from other carriers that, in the aggregate, exceed its injuries. At that point, if OOCL believes another carrier paid BBY less in reparations than it should have for the containers of BBY cargo carried on lanes that were supposed to be covered

under service contracts with both OOCL and that other carrier, OOCL could file a third-party claim against that other carrier seeking contribution or indemnification. *Cf. Third-Party Complaint, M.E. Dey & Co. v. Hapag-Lloyd AG*, FMC Dkt. No. 22-35, 2023 WL 2967200 (FMC Apr. 13, 2023) (respondent carrier's third-party complaint against rail carrier that collected disputed charges).

OOCL has failed to establish any basis to reverse the ID's denial of the Motion to Reopen Discovery, and its Exceptions in that connection must be rejected.

V. OOCL's Exceptions Based on BBY's Burden of Proof and a Purported Lack of Causation Should Be Rejected.

As an initial matter, OOCL failed to address causation in its trial brief, and thus conceded that element. *See generally* OOCL's Opp'n (zero occurrences of the terms "causation" or "proximate cause"). Accordingly, OOCL waived the arguments it now, for the first time, raises as to causation, and the Commission need not consider them. *See Shipco Transp. Inc.*, 2013 WL 9808695, at *3 (affirming an initial decision on default where respondent failed to raise a defense in a timely fashion despite multiple opportunities and instead "first raised the defense after the Initial Decision had been issued and did not provide evidentiary support of his claim."); *see also Marymount Hosp., Inc. v. Shalala*, 19 F.3d 658, 663 (D.C. Cir. 1994) ("Arguments not made below are deemed waived, and, absent 'exceptional circumstances' not present here, 'it is not our practice to entertain issues first raised on appeal.'"). OOCL cannot fail to argue causation and then claim the Presiding Officer committed any error in finding that element satisfied.

To the extent the Commission does consider OOCL's belated causation arguments, those arguments have no merit. In an implicit acknowledgment of the unreasonableness of its conduct, OOCL's Exceptions attempt to repackage its (likewise unconvincing) arguments going to the reasonableness element and reparations calculation into a further strained contention regarding

OOCL's causative relationship to BBY's well-established and quantified injuries. The Commission should reject OOCL's "causation" arguments as meritless and frivolous.

A. The Initial Decision applied the correct standards of proof as to causation.

BBY established, and the ID properly found, that OOCL was the proximate cause of the injuries BBY suffered as a result of OOCL's Shipping Act violations. The Shipping Act grants the Commission the power to order "reparations for an injury to the complainant caused by the violation [of the Act]." 46 U.S.C. § 41301. There is a strong presumption that such statutory damages provisions incorporate the common law concept of proximate causation. *See Bank of Am. Corp. v. City of Miami, Fla.*, 137 S. Ct. 1296, 1305 (2017) ("It is a 'well established principle of the common law that in all cases of loss, we are to attribute it to the proximate cause, and not to any remote cause.'") (citation omitted). "The proximate cause of an injury is the primary moving cause without which it would not have been inflicted, but which, in the natural and probable sequence of events and without the intervention of any new or independent cause, produces the injury." *USL Auto Exporting Inc. v. Easy Shipping Corp.*, FMC Dkt. No. 23-13, 2025 WL 1181598, at *21 (FMC ALJ Apr. 16, 2025) (citation omitted).

To begin its analysis, the ID recited the appropriate standard of review as to the burden of proof.¹⁹ From there, in order to support its conclusions as to causation, and going well beyond "mere speculation", the Presiding Officer carefully and methodically walked through thousands of pages of record evidence (ID at 27–71 ("**These Issues Combined to Cause Declination and Related MQC Fulfillment Issues for OOCL**"), 123–46 (bold in original)), including, *inter alia*:

- ***System-level review of OOCL's unreasonable policies and application of those policies to BBY specifically*** (ID at 123–35) (reviewing fundamental errors in OOCL's CSAL

¹⁹ ID at 120–21 ("Burden of Proof . . . Under the preponderance standard, a complainant must show that their allegations are more probable than not. . . . It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation.") (citations omitted).

booking system, including unreliable booking request policies and consistent errors, OOCL's own employees raising the alarm as to those issues, OOCL's continued use of a system designed to underperform its contractual commitments, and the unreasonable outcomes such system generated for BBY);

- ***Review (and proper rejection) of OOCL's post hoc, made-for-litigation "booking analyses" that were premised on OOCL's error-ridden CSAL system and self-serving manipulation of even that unreliable data*** (ID at 135–36) ("These slides, and the underlying Spotfire graphs, are found not to be credible or reliable however, because: the methodology of counting 'provided' volumes is not found to accurately reflect space made available to BBY; the chart and data presented are based on unreliable CSAL and IRIS-4 data; the numbers presented are not consistent with other evidence found to be more credible; and the analysis performed by Ms. Lam and other OOCL employees was not a contemporaneous record, rather it was prepared for this litigation.");
- ***Review and crediting of BBY's attempts to mitigate its damages and proper rejection of OOCL's bad faith allocation of 1,100 TEUs of space in the last months of the 2021 Service Contract*** (ID at 136–38) ("OOCL failed to provide space to BBY in a reasonable manner, with sufficient notice for BBY to utilize it. Moreover, BBY showed that it was able to utilize space provided, including over 79% of the 'extreme amount' offered at the end of the 2021 service contract. BBY acted reasonably under the circumstances and was not required to engage in additional mitigation.");
- ***Concluding as to MQC shortfalls that OOCL's practices were unjust or unreasonable*** (ID at 139) ("The evidence shows that OOCL has an unjust or unreasonable practice regarding space allocation. OOCL did not make a good faith effort to make available to BBY the space which it had promised in the parties' service contracts. Moreover, the CSAL and internal systems developed and used by OOCL failed to properly track booking requests, denied bookings, and did not reasonably allow BBY to use the space for which it had contracted. At the same time, OOCL was encouraging BBY to agree to surcharges and premium rates to obtain space. The evidence moreover shows that BBY made a good faith effort and reasonably utilized the space provided to it. . . . BBY has established that OOCL's space allocation practices, including reliance on CSAL, was unreasonable."); and
- ***Review of OOCL's practice of discriminating against BBY and other fixed-price service contract customers in favor of higher-priced freight (which, as the Presiding Officer noted, were ignored by OOCL in trial briefing), including the use of PSS and premium pricing to artificially inflate the rates BBY paid for the cargo OOCL did ship under the service contracts*** (ID at 139–45) ("The evidence shows that OOCL's plan to cope with the pandemic's period of congestion was to focus primarily on profits, without sufficient consideration of contractual commitments. OOCL did not make a good faith effort to meet its MQC, but rather pressured BBY to agree to surcharges and premium rates to obtain space promised in the service contract. The evidence shows that OOCL preferred higher-priced freight at the expense of its service commitments, unreasonabl[y] coerced overcharges, and unreasonably shifted space to higher-priced cargo.");

Based on this extensive review, the ID concluded that: “***The evidence shows that the damages alleged by BBY were proximately caused by the alleged violations.***” ID at 146 (emphasis added).

That conclusion was supported by an overwhelming preponderance of evidence that more than meets the standards discussed in the Commission’s decisions in *MCS Industries* and *OJ Commerce*. See *MCS Indus.*, 2024 WL 3514613, at *14–20; *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2024 WL 4034610, at *21–23 (FMC Aug. 27, 2024) (approving damages calculation on the basis of a detailed spreadsheet submitted by the complainant reflecting actual shipments).²⁰ *OJ Commerce* simply requires the complainant prove “the fact of injury . . . with reasonable certainty [and] that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences”, and that is exactly what BBY did, and the ID correctly found. FMC Dkt. No. 21-11, 2023 WL 3969857, at *40 (FMC ALJ June 7, 2023), *aff’d*, 2024 WL 4034610 (FMC Aug. 27, 2024).

As to burden shifting, while BBY retained the ultimate burden of persuasion, after a complainant presents evidence sufficient to establish a *prima facie* case of a Shipping Act violation, the burden shifts to the respondent to rebut that showing. See *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Dkt. No. 08-03, 2014 WL 9966245, at *14–15 (FMC Dec. 17, 2014); *Director, Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 280 (1994) (When the party bearing the burden of persuasion establishes a *prima facie* case supported by “credible and credited evidence,” that evidence “must either be rebutted or accepted as true”); 46 C.F.R.

²⁰ See also *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Dkt. No. 96-05, 2001 WL 865708, at *80 n.75 (FMC June 7, 2001) (“[A] party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’”); *Adair v. Penn-Nordic Lines, Inc.*, FMC Dkt. No. 1695(F), 26 S.R.R. 11, 1991 WL 383091, at *23 (FMC ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”); Reply at 58–65.

§ 502.203; 5 U.S.C. §§ 556(d), 557. Thus, once BBY presented its *prima facie* case that OOCL's policies were unreasonable, OOCL bore the burden to rebut that evidence. Partly because OOCL never contested causation, the ID correctly found that OOCL failed to rebut BBY's showing.

None of OOCL's untimely arguments alter that conclusion. Far from "illogically" extrapolating "anecdotal accounts of problems" (Exceptions at 21), the ID thoroughly reviewed the evidence of OOCL's systemic, unreasonable policies (which constitute the context in which BBY was forced to operate as it pushed OOCL to honor its service commitments) and evidence linking those policies to OOCL's service failures to BBY. OOCL cannot point generally to the "unprecedented disruptions of the pandemic" to excuse its conduct, because (1) a blunt (and unsupported) statistic of "carrying millions of containers for thousands of shippers" elides, as well as causation, OOCL's unreasonable manipulation of its space allocation policies to maximize its revenue at the expense of fixed-price service contract customers (*i.e.*, the core basis of BBY's claims) and (2) it ignores the six-decades-plus of Commission precedent the ID relied upon in holding, "The Commission has repeatedly stated that: 'Where the demand for space exceeds the supply, the law is clear: a common carrier must equitably prorate its available space among shippers.'" ID at 125 (quoting *Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. 615, 620 (FMB 1959), *aff'd sub nom Grace Line Inc. v. FMB*, 280 F.2d 790 (2d Cir. 1960) and citing cases).²¹

Nor does OOCL's invocation of its "industry performance" help it—and certainly not the only piece of evidence it advances in support of that argument, *i.e.*, that "only" four of its shipping

²¹ In footnote 64 in its Exceptions, OOCL attacks a straw man, arguing that *Banana Distributors, Inc.* does not require indemnification "as measured by the highest price in the market". Exceptions at 21 n.64 (citing *Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. at 625). That is neither what BBY argued below or what the ID concluded. See Brief at 8 ("[T]he Commission has long established that, in times of shortage, under FMC precedents the proper method for a common carrier to allocate space is by 'employing *a standard of equity that would lead to apportionment that is 'just and reasonable' rather than one that would result in the greatest amount of space going to the highest bidder*'. ([1999 Walsh Letter at 1] (quoting *Banana Distributors v. Grace Line*, 5 F.M.B. 615, 622 (1959))" (emphasis added). OOCL's argument also ignores that its space allocation policies were found to be unreasonable—had OOCL followed the FMC's long-standing guidance, OOCL may not have incurred Shipping Act liability in the first place.

customers *sued OOCL before the FMC*—both because OOCL fails to support it with any data and because it is otherwise contradicted by the corpus of bedrock-solid evidence upon which the ID founded its conclusions and that OOCL fails to credibly address. *See, e.g.*, Exceptions at 22 (inaccurately asserting as “devoid of supporting facts” the ID’s conclusions that OOCL’s Shipping Act violations were the proximate cause of BBY’s losses).

OOCL effectively seeks to abrogate the Commission’s controlling decisions in *MCS Industries* and *OJ Commerce* by imposing an impossible standard that would require BBY to link specific booking attempts by BBY and rejections by OOCL to other, specific cargo BBY did ship, despite the fact that space accommodations for containerized cargo are fungible by design. *See* Exceptions at 18 (arguing incorrectly that BBY was required to show “specific pecuniary losses” from each violation). OOCL fails to explain what “specific” pecuniary losses means—other than the hide-bound booking-to-container standard that the ID properly rejected. ID at 137–38 (“As discussed in the section on reparations and expert evidence, BBY is not required to identify specific containers that it tried and was unable to ship with OOCL”) (citing *MCS Indus.*, 2024 WL 3514613, at *8, and *MSC*, 141 F.4th at 222); *cf.* Exceptions at 20–22 (mischaracterizing the ID’s analysis as to causation as “conclusory” and “bypass[ing] specific evidentiary showings necessary to prove causation” while admitting that “flaws in CSAL may have been capable of having a detrimental effect on some shippers in certain specific circumstances”).²² OOCL simply misstates the record, claiming “BBY presented no evidence” establishing OOCL caused BBY’s injuries—as discussed above, the ID analyzed copious evidence demonstrating OOCL’s

²² As to the ID’s conclusions that OOCL’s CSAL system was designed to maximize OOCL profits rather than to meet its service commitments, OOCL argues that “OOCL’s space allocation system has nothing to do with revenue and everything to do with managing efficient and quality service for thousands of global shippers concurrently.” Exceptions at 20 n.63. Nonsense. OOCL is a cargo transportation *service* company that signs *service* contracts with its customers and its revenue stems directly from the *service* it provides (or fails to provide) to its customers.

unreasonable and flawed CSAL system caused BBY's injuries notwithstanding BBY's efforts to mitigate those injuries. *See, e.g.*, ID at 136–38.²³

OOCL also argues that the Commission should weld onto BBY's Counts I and III claims the same “shipment-specific” requirements the ID applied to BBY's Count II claims regarding OOCL's detention and demurrage charges. Exceptions at 23–25. But the Commission's regulations and jurisprudence explicitly distinguish the 46 U.S.C. Section 41102(c) analysis applicable to claims relating to detention and demurrage charges. *See* 46 C.F.R. § 545.5(a) (“The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) ***in the context of demurrage and detention.***”) (emphasis added); Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29642 (May 18, 2020). There was no error, much less an “arbitrary and capricious” one, for the ID not to address BBY's Counts I and III claims under an inapposite standard.

Finally, OOCL's assertion that “the [Chief] ALJ accepted causation in a single conclusory sentence keyed to the existence of an unreasonable practice — ‘OOCL's reliance on an unreasonable space allocation system was the proximate cause of OOCL's failure to transport the MQC,’” is not an honest characterization of the ID. Exceptions at 24 (citing ID at 146). OOCL's quotation misleadingly fails to include the full sentence, which begins with “***For example***”—demonstrating that the ID was providing just one exemplary category of evidence supporting causation, not limiting its findings to that single sentence, as OOCL contends.²⁴ In truth, the ID contains a lengthy and thorough discussion of OOCL's many acts and practices that combined to

²³ OOCL's equally meritless assertions as to the efficacy and reliability of BBY's system-level data (which, again, run counter to the Commission's decisions in *MCS Industries* and *OJ Commerce*) are further discussed below.

²⁴ OOCL's mischaracterization is part of OOCL's ongoing pattern of flouting the Presiding Officer's admonitions. *See* Reply at 63 n.50 (highlighting the Presiding Officer's admonition to OOCL to “read the entire case which they cite”) (quoting Order Denying Respondents' Motion to Strike the Verification and Dismiss the Complaint at 6, FMC Dkt. No. 23-02 (Dec. 6, 2024), Dkt.. 89).

cause BBY's injuries. *See, e.g.*, ID at 40 (“**These Issues Combined to Cause Declination and Related MQC Fulfillment Issues for OOCL**”) (bolding in original); *see generally* ID at 27–71, 123–46 (analyzing issues pertinent to causation).²⁵

B. The Initial Decision correctly found that BBY proved causation.

OOCL's arguments going to BBY's proof of causation under 46 U.S.C. Section 41102(c) fail for reasons similar to its belated arguments going to the standard for establishing causation.

(1) OOCL cannot defeat causation by pointing to the very same market dynamics brought on by the COVID-19 pandemic that OOCL unreasonably manipulated in order to enrich itself at the expense of BBY and other beneficial cargo owner (“BCO”) customers: OOCL conflates causation with the merits by pointing to “unprecedented supply chain dislocations and resulting congestion” and repackaging those points under causation, which, as discussed above, OOCL advances for the first time on exceptions. Exceptions at 25–26 (“Mr. Steffen’s critique is, at its core, a § 545.4(e) critique”) (emphasis in original). BBY demonstrated that “OOCL’s space-allocation, booking and pricing practices . . . *proximately* caused the losses claimed.” Exceptions at 26; *see* Brief at 24–50; Reply at 14–23; ID at 27–71, 123–46. The ID based its conclusions on extensive documentation of OOCL manipulating market conditions during the pandemic—*the same conditions that OOCL then and now seeks to use as a fig leaf for its deliberate and unreasonable policy choices*—to de-prioritize OOCL’s service commitments to BBY and other fixed-price contract customers in favor of higher-priced freight, which proximately caused the shortfalls under BBY’s service contracts with OOCL as quantified in detail by BBY. That

²⁵ OOCL’s characterization of BBY’s complaints to the Commission of similar conduct (*i.e.*, Shipping Act violations) by carriers other than OOCL as “copy-paste FMC complaints” is unsupported and inaccurate. Exceptions at 24. It is also hypocritical given that OOCL copied and pasted wholesale into its Exceptions its rejected assertions as to the Lam and Metzger declarations from its Opposition. *Compare* Exceptions at 30–42 *with* Opposition at 13–29. This tactic contradicts OOCL’s purported claim that without additional space it would “not have a reasonable ability to respond to the findings and errors in the Presiding Officer [*sic*]”. Mot. for Ten Additional Pages, FMC 23-02, Doc No. 149 at ¶ 4.

easily meets the applicable standard of proof. *See OJ Commerce*, 2024 WL 4034610, at *12 (generalized supply chain congestion did not excuse the carrier where “the evidence [did] not support a conclusion that any transportation factors were the reason” for its actions and instead showed that the carrier’s own decisions caused the harm).

(2) OOCL misstates the Commission’s decisions in MCS Industries, ignores the Commission’s decision in OJ Commerce, and repeats rejected, meritless contentions as to the drawdown amendments between BBY and OOCL: In a section devoid of legal authorities or explanations connecting evidence to its belated causation arguments, OOCL raises unfounded doubts as to the existence of the MQC shortfall resulting from OOCL’s unjust and unreasonable policies. Exceptions at 26–27. To the extent OOCL rehashes its inapposite “shipment specific” standard, that argument fails for the same reasons discussed above. As to the drawdown amendments to the parties’ service contracts, OOCL seeks to raise a *contract amendment defense* in response to what OOCL knows very well are *statutory claims*—as BBY and the Presiding Officer have repeatedly reminded OOCL.²⁶ The ID properly rejected OOCL’s invocation of the drawdown amendments as a defense while (in a manner highlighting the ID’s balanced and well-reasoned approach) crediting them as a useful (though by no means conclusive) barometer of the general scale of those shortfalls.²⁷ The ID thus properly concluded, consistent with binding Commission and federal Court of Appeals precedent, that contractual provisions cannot eliminate

²⁶ *See, e.g.*, Brief at 11 n.8 (“***Each of the claims in this action sounds in the Shipping Act and are not breach of contract claims***”) (emphasis added); Reply at 26–27 (addressing OOCL drawdown amendment arguments); ID at 110–16 (“[T]he alleged violation of section 41102(c) in Count I is not prohibited by section 40502(f) and does not raise a mere breach of contract issue. . . . the allegations in Count I specifically refer to OOCL’s practices in assigning space during a surge in demand, which require considerations beyond the four corners of the service contracts”).

²⁷ ID at 138–39 (“The drawdown amendment does not necessarily reflect the total shipped under the annual service contract, however, depending on the timing and information available at the time of the drawdown amendment. . . . These drawdown amendments are not found to be the most accurate measure of the actual shortfalls experienced under the contracts for purposes of reparations, however, these also serve as a cross-check concerning the general magnitude of the shortfalls experienced by BBY.”).

OOCL's liability under the Shipping Act. *See MSC*, 141 F.4th at 225 ("the Commission must ensure . . . that common carriers establish, observe, and enforce just and reasonable regulations and practices related to receiving, handling, storing, or delivering property") (cleaned up).

As to the numbered list of evidence OOCL purports was not presented (Exceptions at 27), that list is not credible, either:²⁸

1. **BBBY bookings or attempted bookings with OOCL:** BBBY, through its booking agent Yusen, regularly submitted booking requests to OOCL under the parties' service contracts and repeatedly communicated with OOCL regarding shortages in available space and BBBY's inability to move contracted cargo. ID at 16, 39–40, 58–59.
2. **OOCL declined or cancelled BBBY's bookings:** OOCL's internal documents acknowledged repeated declined bookings, that bookings exceeding CSAL were rejected, that even bookings within CSAL were not always honored, and that OOCL would cancel an entire booking if it exceeded allocation. ID at 30–33, 38–44.
3. **BBBY's bookings were made according to OOCL's procedures:** OOCL did not automatically notify customers when a booking request was rejected. Instead, OOCL manually reviewed booking requests and entered accepted bookings into its IRIS-4 system before issuing booking acknowledgments. ID at 29–31.
4. **BBBY timely provided its forecasted container space needs:** BBBY provided OOCL with rolling forecasts and projections of its space requirements, which OOCL expressly acknowledged receiving. ID at 38, 58–59.

(3) OOCL's conduct not in accordance with its service contracts with BBBY stands as an alternative basis for establishing BBBY was cognizably injured by OOCL's practices: As to BBBY's Count III claims under 46 U.S.C. Section 41104(a)(2), (Exceptions at 27–28), the ID properly found that those claims provided an alternate ground for finding OOCL violated the Shipping Act. ID at 155–57 ("BBBY has rebutted the presumption that this is a breach of contract claim and has established that the claims of systematically failing to meet its service commitments, and seeking to coerce BBBY to pay PSS and enter into premium rate/extra loader contracts, under these facts, were not voluntary and not in accordance with the rates, charges, classifications, rules,

²⁸ OOCL failed even to proofread its own list, as indicated by the duplicate "(4)" entries.

and practices of the parties' initial service contracts.”).²⁹ OOCL fails to engage with that analysis. Instead, OOCL re-advances a misstatement of the *MCS Industries* and *OJ Commerce* causation standard (discussed above); points to its inapposite analogy to the 46 C.F.R. Section 545.4(e) analysis specific to claims relating to detention and demurrage charges (same); and otherwise lists issues that either BBY presented and the ID analyzed or are inapposite to the requirements to BBY's Counts I and III claims (same).

(4) The Hill Declaration is admissible and OOCL's attempt to mischaracterize that document should be rejected: The Declaration of Lee Hill (“Hill Declaration”) is nothing more than a standard attorney declaration listing facts ***already provided in the record and explained in BBY's responses to OOCL's discovery requests*** comprising BBY's proof of damages, offered on Reply in response to OOCL's false assertion that BBY had failed to support its reparations calculations. OOCL's contention that the Hill Declaration is inadmissible or somehow sought to insert new evidence or facts at trial is utterly incorrect. Exceptions at 28–29.³⁰

First, the Hill Declaration lists BBY's Supplemental Interrogatory Responses, which cite to McCown's appendices and to documents “bates-stamped P-0000810432 [APP-4419] and P-0000353819 [APP-4414]”. Hill Declaration ¶ 5. The Hill Declaration then states the origin of P-0000810432, noting what that document's plain metadata shows (that it was created by former BBY employee Paul Pastor) and that, at the deposition of former BBY employee Rick Cunniff (taken by OOCL, which had the full ability to ask about the origin or provenance of any document), Cunniff:

²⁹ OOCL confusingly describes Section 41104(a)(2) as the “filed rate doctrine”. To the extent OOCL contends BBY's Section 41104(a)(2) claims require rate regulation, the ID considered and dismissed that argument. ID at 110-11 (“It is first worth noting that Respondents create a straw man when they allege that BBY is seeking to set rates, practices, profits, or prices. . . . BBY does not request and the decision does not set the rates for past or future shipments.”) (citing cases).

³⁰ OOCL's Exceptions regarding the Hill Declaration are limited only to BBY's PSS analysis.

testified about the document that “I believe that the previous document was a document that supplements the Berman records because we did not previously Berman to house all of our import container information; so, therefore, Logistics was able to provide a supplemental report -- I think it’s the previous one -- that contained records that were not loaded in or not part of Berman once we fully had imports in the Berman database.”

Hill Declaration ¶ 7 (quoting Cunniff Dep. Tr. 98:9–99:1 [APP-297]).

As to P-0000353819, the Hill Declaration next simply states, without argumentation, uncontroversial details as to that document’s production history,³¹ including that, as is evident from the title “Berman_Import”, that the document contains information from Berman Blake. Hill Declaration ¶ 9.³² Far from providing “testimony” or “new evidence”, the remainder of the Hill Declaration simply outlines BBY’s Interrogatory Responses and McCown Report Appendices pertaining to BBY’s reparations calculations, and further makes clear that Attachment A to BBY’s Supplemental Interrogatory Responses at tabs “SY 20” and “SY 21” “contain the merged container-level data from P-0000353819 and P-0000810432”, which simply describes the *source* of that information—which again was provided in discovery through a written interrogatory response, and which OOCL had the full ability to question—without providing any “testimony”. Hill Declaration ¶¶ 10–20.

For these reasons, OOCL’s belated causation arguments fail.³³ The ID devotes dozens of pages to findings of fact and analysis in support of its causation conclusions, all demonstrating that OOCL’s practices caused shortfalls (and injuries) for BBY and other shippers systemwide. ID at 27–71, 123–46. The Commission should affirm and adopt those findings and conclusions.

³¹ Hill Declaration ¶ 8 (“attachment to an email (produced in this action at bates number P-0000353818) from Paul Pastor to Ian Pinchuk on May 17, 2023. The subject line of the email was ‘Berman file v3’ and the name of the spreadsheet file at bates number P-0000353819 is identified as ‘Copy of Copy of Berman_Import 050423 v3.xlsb’”)

³² “Berman” was BBY’s third party payment processing service. *See, e.g.*, Hackett Dep. 54:1–2, [APP-827] (“Berman and Blake was our preaudit and payment third party.”).

³³ Often, they are also simply mystifying. At one point, OOCL copies *thirty* single-spaced lines of unaccompanied record evidence without attempting to explain their relevance. Exceptions at 25.

VI. The Initial Decision Correctly Found that OOCL's Unreasonable and Unjust Practices Violated 46 U.S.C. § 41102(c) (Count I).

A. OOCL's copy-and-paste arguments as to (1) the data substantiating and quantifying BBY's injuries and (2) OOCL's made-for-litigation booking analyses are improper, meritless, and should be rejected.

OOCL's assertion that its refuted, made-for-litigation "analyses" authored by Karen Lam and Glenn Metzger were "completely ignored by the [Chief] ALJ" is inaccurate; *the ID explicitly considered and rejected those error-ridden analyses* in an easily identifiable section entitled "OOCL data".³⁴ Nor, as discussed, does OOCL point to any cognizable error in BBY's data.

Further, the OOCL Exceptions' passage on this subject is *a nearly 1-to-1 copy and paste from OOCL's Opposition below*, with only marginal edits to that rejected argumentation to reflect the exceptions context.³⁵ OOCL does not even attempt to respond to the detailed counterarguments discussed in BBY's Reply. *See generally* Reply at 23–26 ("OOCL's made-for-litigation booking analyses are unreliable"). OOCL's failure provides no basis for the Commission to overturn the ID's findings as to, and well-reasoned treatment of, OOCL's misleading analyses.³⁶

B. OOCL fails to demonstrate error in the Initial Decision's conclusion that OOCL unreasonably relied on CSAL to manipulate space allocations to the detriment of BBY and other OOCL BCO customers and to enrich OOCL.

In a section *devoid of any legal authority* supporting a finding of any error in the ID, OOCL misstates the record and continues employing *ad hominem* attacks against the Presiding Officer in defending its unreasonable reliance on its discredited CSAL booking system. Exceptions at 42–47. As discussed above, the ID methodically walked through numerous flaws in OOCL's CSAL

³⁴ Compare Exceptions at 36 with ID ¶¶ 318–23, 328–30; 135–36 ("OOCL points to slides prepared by Karen Lam and other OOCL employees in June 2024, more than a year after this proceeding began . . . These slides, and the underlying Spotfire graphs, are found not to be credible or reliable . . ."), 137 (dismissing as bad faith "extreme amount" of space offered by OOCL to BBY in last months of 2021 Shipping Year), 185–88 (noting that OOCL's own expert Lars Jensen provides booking calculation alternative to OOCL's made-for-litigation analyses).

³⁵ Compare Exceptions at 30–42 with Opposition at 13–29.

³⁶ OOCL's Exceptions to the ID's findings and conclusions as to BBY's Count III rely on these same analyses, Exceptions at 47–49, and should be rejected as well.

system and analyzed those flaws in the context of ***OOCL's own internal critiques of its system*** and the results that system produced for BBBY and other of OOCL's customers (*i.e.*, broad-based and systemic service failures, including substantial MQC shortfalls for numerous customers) as juxtaposed with OOCL's skyrocketing profitability and internal discussions stating profit maximization to be OOCL's explicit purpose in continuing to employ that system and set of policies. The ID correctly concluded that OOCL's system and policies were unjust and unreasonable. In fact, while OOCL's Exceptions claim that "carriers do not spend multi-millions of dollars to obtain, maintain, and use sophisticated systems that do not work" (Exceptions at 42), OOCL simply elides without engaging with BBBY and the ID's fundamental point: OOCL's system *did* "work", ***but only as to OOCL's well-established goal of enriching itself at the expense of failing its service commitments to its customers.***

OOCL's exception here is premised, as elsewhere, on misstatements of the record that also contradict themselves. For example, OOCL falsely claims that "[w]ith respect to the illogical conclusions reached in the ID, the [Chief] ALJ found that OOCL's space allocation system was unreasonable based solely on what one of OOCL's sales representatives said in an email: that the space was 'use it or lose it.'" Exceptions at 43. That claim is inaccurate upon a cursory review of the record as discussed above and upon simply reading OOCL's statements from ***just a few lines earlier on the very same page.*** Exceptions at 43 (citing ID discussion of "evidence discussing or criticizing OOCL's CSAL's shortcomings generally"). And where it does discuss the evidence (which, in the same breath, it claims does not exist), OOCL ignores the ID's detailed consideration of such evidence, such as the extensive examples of how OOCL's unreasonable system impacted

BBBY throughout the relevant time period, (ID ¶¶ 104, 27, 30, 36, 107, 134),³⁷ which were supported by “data” (a term OOCL fails to distinguish from the variety of data in the record, including the analyses BBBY developed and that OOCL elsewhere baselessly attacks). *See* Ex. 381 (McCown Report Appendices A1-B5 [APP-3791]; Ex. 328 [APP-3357], Ex. 329 [APP-3358].³⁸ OOCL next compounds its error with a gratuitous comment characterizing the ID’s conclusions as “illogical”. Exceptions at 43 & n.154.³⁹

OOCL’s flawed arguments are highlighted in the purportedly “simple hypothetical” OOCL advances: “If a shipper books no cargo all year and then demands all of its annual MQC in the last week, the [Chief] ALJ’s logic would dictate that the carrier had an ‘unreasonable practice’ if it cannot provide all of that space in a single week, which makes no practical sense.” Exceptions at 44. *First*, even theoretically, if a shipper were to engage in the behavior OOCL describes, *that behavior would arguably be just as unreasonable were a carrier to engage in it. Second*, to accept the premise of OOCL’s flawed hypothetical, one must set aside knowledge⁴⁰ that shippers, particularly retailers like BBBY, enter into service contracts with carriers *for the very reason that those contracts are designed to provide consistent, reliable shipping space throughout the*

³⁷ OOCL dismisses BBBY’s provision of detailed and consistent space forecasts and OOCL’s failure to align space allocation with those forecasts as either (1) somehow not OOCL’s problem in a confusing point about BBBY’s booking agent Yusen’s booking activity, which fails to explain OOCL’s unreasonable failure to allocate to BBBY space that BBBY could actually use (*see, e.g.*, ID at 137–38 (concluding as bad faith OOCL’s “extreme” offer of 1,100 TEUs in the last months of the 2020 Service Contract), or (2) BBBY’s fault by pointing to a single “anecdote” showing BBBY attempting to align its forecasts with OOCL. *Cf.* Exceptions at 43 n.153.

³⁸ In the single ID paragraph OOCL cites to, *OOCL’s own expert Lars Jensen admits* that “there were a significant amount of cases where there was rejection for Bed Bath & Beyond bookings . . . These might have been some of the cases where Bed Bath & Beyond then had to go and book this excess cargo with NVOs somewhere else.” ID ¶ 94.

³⁹ OOCL claims that “the [Chief] ALJ does not understand industry nomenclature and assumed OOCL cancelled bookings; to the contrary, OOCL declines bookings, the shipper cancels them”. Exceptions at 43 n.154. OOCL’s point is disrespectful and frivolous. To the extent OOCL did not outright reject (cancel) a booking affirmatively, it achieved the same result by “pending” bookings and allowing them to languish past all practical use. *See, e.g.*, ID ¶¶ 98–101, 103, 114; ID at 127–29, 131–32 (“*when a customer booking was put into pended status, even if the customer had a CSAL allocation, by the time the pended status was resolved, there may not be any space remaining on the vessel*”) (emphasis added). OOCL’s own expert Lars Jensen spoke in terms of OOCL rejecting BBBY’s bookings. ID ¶ 94.

⁴⁰ In other words, the same industry knowledge OOCL claims the Presiding Officer does not possess.

contract period. CPFF ¶ 71–72. OOCL’s hypothetical thus ignores that shippers have no incentive to engage in the “backloading” of space requests that OOCL describes. *Third*, and in contrast, a carrier acting unreasonably in pursuit of its own profits and at the expense of its customers *would* be incentivized to backload its space allocations in a way that practically prevented the customer from utilizing that space—which is exactly what the evidence demonstrates, and that the ID found, OOCL did. ID at 137–38 (“OOCL knew that it was doubtful BBY would be able to use all of this space. . . . Thus, this offer of space was not made in good faith.”). OOCL is simply incorrect that the Presiding Officer did not “bother to review” this exact data in a detailed and well-reasoned 200-page decision. Rather, OOCL advances unsupported positions, such as claiming to have “reasonably pro-rate[d] available space” without citing *any evidence* to support that notion (because there is none) or engaging with the overwhelming countervailing evidence. Exceptions at 44.

OOCL’s failure to address the “real world” problems and unreasonable outcomes that its own personnel contemporaneously detailed and deliberated about, and that the ID found caused BBY’s injuries, fails to engage with why OOCL would decline, or cancel, or reject, or “pend” BBY’s bookings in the face of the very obstacles OOCL erected. Exceptions at 45 nn.156 & 159. In contrast, the ID acknowledged these OOCL practices and carefully situated them within OOCL’s overriding profit-driven policy goals.⁴¹ OOCL used every possible ambiguity to its own advantage at the expense of its customers, and it has nothing to say about the ID’s analysis and conclusions to that fact, other than a strawman policy argument that the ID’s conclusions would oblige a carrier “to carry more cargo than that for which it contracted” (Exceptions at 46)—a

⁴¹ ID at 127–35 (“*Moreover, the evidence shows that CSAL was not implemented to ensure sufficient space allocations or the efficient flow of cargo. Rather, the system was used to maximize profits.*”) (emphasis added).

contention that flies in the face of OOCL's intentional failure to meet its service commitments to BBY and its other BCO customers.

Ultimately, OOCL pins its hopes on the Commission accepting an argument that boils down to, "Why would we design a system that maximized our profits?" Exceptions at 46–47; *cf.* ID at 127–35. The question answers itself.

C. OOCL's Exceptions are premised on a purported lack of proof regarding BBY's shortfall claims that ignores the Initial Decision and the record.

OOCL's arguments regarding BBY's purported lack of proof on OOCL's shortfall are also unavailing because they ignore the record evidence provided in discovery and discussed in both BBY's briefing and the ID's detailed analysis. BBY *did* support its allegations regarding OOCL's shortfall and the volume shipped by OOCL. OOCL just never challenged BBY's calculations or provided any countervailing evidence on the issue of how much OOCL actually carried for BBY. Now, after an adverse ID, OOCL seeks belatedly to attack the showing that it chose not to rebut below.

First, OOCL misrepresents the record by claiming that "BBY's Director of International Supply Chain, Patrick Hackett, testified at deposition that BBY had no evidence of any such shortfalls". Exceptions at 30. To the contrary, as made clear in the very quote relied on by OOCL, Hackett merely testified that, *to his knowledge*, he did not *personally* do an analysis of whether OOCL provided all of the space to which it had committed. Exceptions at 30 (citing RPFF 550–59). OOCL also ignores the bulk of the evidence that the ID properly considered regarding OOCL's failures to satisfy its service commitments despite BBY's efforts to make bookings. ID

at 123–36. The ID also properly considered, and rejected, the suggestion that a complainant must correlate individual shipments for which it seeks reparations.⁴²

Second, OOCL falsely claims that “abundant evidence demonstrates that no such calculation was ever undertaken” and that “BBBY placed no documents in the record that calculate or otherwise explain the amount of space OOCL provided to BBBY”. Exceptions at 30. In fact, this exact issue was addressed during discovery and trial briefing. First, the exact shortfall amounts were alleged in the Verified Complaint.⁴³ These numbers are supported in BBBY’s Findings of Fact at paragraphs 339 and 340, which reiterate the Verified Complaint’s exact shortfall calculated by BBBY in each of the 2020 and 2021 Service Contract Years. Each of those paragraphs cites to a document bates numbered P-0000801023, produced by BBBY in this action and included in BBBY’s Appendix at 4418. This document, provided to OOCL and cited in support of BBBY’s shortfall calculation, contains three sheets of data directly supporting BBBY’s calculations. OOCL’s failure to read BBBY’s proof is not credible. OOCL’s arguments are also entirely moot, as the ID did not even rely on BBBY’s calculation of containers actually shipped and instead relied upon *OOCL’s own expert’s calculations* for the volume shipped in calculating OOCL’s shortfall volume, which show *fewer* containers carried than as alleged by BBBY. ID at 100–01, 188.

D. OOCL’s claim that premium space was “additional” is flatly contradicted by the record.

OOCL’s claim that the premium-priced space it offered to BBBY was “in excess of the MQC” is flatly untrue. Exceptions at 48. Premium space and PSS instead substituted for the space

⁴² “BBBY does not have to correlate individual shipments for which it seeks reparations to a specific denial of a booking request for that individual container. . . . This ‘excessively high standard of proof’ has previously been rejected.” ID at 13 (citing *MCS Indus.*, 2024 WL 3514613, at *8 (rejecting “apparent claims that MCS had to tie each spot shipment to a prior request that Mediterranean carry the shipment”)).

⁴³ Verified Complaint ¶¶ 31–32 [APP-46-47] (alleging OOCL carried only 1,475.85 FEUs under the 2020 Service Contract, resulting in a shortfall of 624.15 FEUs in that year); *id.* ¶ 43 [APP-49] (alleging OOCL carried only 2,432.74 FEUs under the 2021 Service Contract (out of a commitment of 3,796 FEUs), resulting in a shortfall of 1,363.26)

that BBY was *already* entitled to under its primary service contracts. The ID did not have to “address whether OOCL could have charged a higher rate for additional service once it met its initial MQC” because “*that is not what the facts show*”. ID at 145 (emphasis added).⁴⁴ As the ID conclusively showed, OOCL’s made-for-litigation fulfillment calculations stem from unreliable data and OOCL’s unreasonable CSAL system as well as count “over accommodations” that BBY could not have reasonably used, such as one massive volume of cargo space that the ID found OOCL offered in bad faith with very short notice at the end of the 2020 Service Contract period. ID at 186–87. As the ID concluded, the “volume actually transported by OOCL is the most reliable and accurate metric by which to judge the volume fulfilled by OOCL”. ID at 187. That volume was not even close to MQC fulfillment, as OOCL admits. Exceptions at 36. Premium space was therefore in no way “additional” to the parties’ underlying MQC.

The ID correctly found OOCL’s “PSS and premium pricing practices”, including offering “extra loader” space at a premium, were unreasonable given OOCL’s failure to make “a good faith effort to meet its MQC” under the primary service contracts, (ID at 145),⁴⁵ and that PSS pricing was unreasonable and not voluntarily agreed to by BBY. ID at 143.

⁴⁴ OOCL itself asserts BBY’s MQC performance was “58.5%” and “60%” for the 2020 and 2021 shipping years, respectively, (Exceptions at 36), despite during this litigation having calculated “OOCL’s MQC fulfillment” at 104% and 94% in those respective shipping years. See Exceptions at 36; ID at 185–86.

⁴⁵ See, e.g., ID at 143 (“[W]hen BBY asked about receiving the space it had been promised, it was offered space at a higher rate through PSS, premium pricing, or higher cost extra loaders and it was clear that space would go to the highest bidder . . . Contemporaneous emails support that OOCL’s space allocation decisions were heavily influenced by PSS and premium pricing”); *id.* at 141 (extra loaders, though marketed as a separate service, transited the same lanes between “the same port pairs identified in the parties’ initial contracts, just at a higher cost to the shipper”); *id.* at 143 (“OOCL records show that a focus on cargo shipping at premium rates impacted customers’ bookings . . . There is no indication of MQC performance, i.e. a customer being behind on their annualized MQC, being utilized by OOCL to determine to whom it would offer extra loader space”); *id.* at 144 (“BBY’s Senior Director of International Supply Chain, Patrick Hackett, credibly testified that agreeing to surcharges was necessary to obtain space on OOCL vessels”).

VII. OOCL’s Exceptions to the Initial Decision’s Holdings on Retaliation Are Baseless and Must Be Rejected.

As to the ID’s finding of unlawful retaliation by OOCL, OOCL makes two faulty arguments. *See* Exceptions at 49–59. First, OOCL misreads the controlling law and the record in contesting that BBY’s two demand letters constituted protected activity because OOCL’s response to those letters shows that ***OOCL interpreted those letters as a threat***. Second, OOCL’s own contemporaneous internal emails show that OOCL’s purportedly “across the board” MQC reduction was in fact a smokescreen for OOCL’s retaliatory targeting of BBY, which OOCL’s pretextual concerns about BBY’s solvency do not excuse.⁴⁶

The Commission need not resolve any question of witness credibility to decline OOCL’s Exceptions. The ID reached its retaliation conclusions in part by properly crediting OOCL’s own written words—composed in real time by its own employees as events unfolded—over OOCL employees’ *post hoc* recollections offered years later in depositions and made-for-litigation affidavits. The record overwhelmingly supports the ID’s findings and conclusions that OOCL retaliated against BBY and should be adopted. ID at 161–79.⁴⁷

A. BBY engaged in protected activity.

1. The statutory text and Commission precedent protect intermediate notices of possible Shipping Act claims like BBY’s letters.

In drafting the former 46 U.S.C. Section 41104(a)(3)’s “for any other reason” clause, Congress deliberately chose broad residual language and carried that language forward through its

⁴⁶ In those emails, OOCL executives branded BBY’s October 2021 letter as a “threatening DD letter” (ID at 166); proposed the “[s]imple solution” of “cut[ting] back [BBY’s] bookings” (ID at 165); admitted that the across-the-board rationale for the 17% cut “was not right he was just using it as justification to reduce BBB[Y]” (ID at 173); and admitted that OOCL’s rates were “***purposely higher than what they will ship against***”. ID at 175 (emphasis added).

⁴⁷ OOCL’s Exceptions challenge the retaliation finding only on liability grounds, and do not separately except to the ID’s determination that OOCL’s violations were “willfully and knowingly committed” or to its calculation of additional reparations under 46 U.S.C. Section 41305(c). ID at 195–96 (quoting *OJ Commerce*, 2024 WL 4034610 at *24). Affirmance of liability thus requires affirmance of the additional reparations award, as well.

1984 codification of that statute. *Statement of the Commission on Retaliation*, FMC Dkt. No. 21-15, 3 F.M.C.2d 201, 202–03 (FMC Dec. 28, 2021) (“Statement”).⁴⁸ Consistent with that language and intent, the Commission committed to interpreting the retaliation provision “broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” *Id.* at 201.⁴⁹ The ID faithfully applied that commitment here in weighing BBY’s retaliation claims against OOCL.

The *ejusdem generis* canon further supports a broad interpretation of “protected activity” under the former 46 U.S.C. Section 41104(a)(3). *Cf.* Exceptions at 50. The Commission’s Statement—the very authority OOCL quotes—construes “any other reason” to encompass “other activities of the same class”, meaning “other ways that shippers may bring allegations of unlawful activity to the Commission”, ***including intermediary steps to filing a formal complaint***. Statement, 3 F.M.C.2d at 207, 209. Thus, the Commission held in *OJ Commerce* that formal demand letters fall within that class because they “served essentially the same purpose” of “***putting [the carrier] on notice*** of [the Complainant’s] claims and providing an opportunity to resolve them before more formal litigation.” 2024 WL 4034610, at *19 (emphasis added). Here, the ID found exactly that where: (1) BBY’s letters “raised the possibility of a Shipping Act violation,” (ID at 168); (2) OOCL ***understood them as threatening*** a report “***to the authorities***” (*i.e.*, the FMC) (ID at 80, 165, 168); and (3) the conduct “is closely related to the listed violations and fits within the ‘for any other reason’ language”. ID at 167–68. The ID thus adopted a reasonable construction of the residual clause.

⁴⁸ During the relevant time period, the former 46 U.S.C. Section 41104(a)(3) prohibited common carriers, like OOCL, from “retaliat[ing] against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort[ing] to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(a)(3).

⁴⁹ Thus, in *OJ Commerce* the Commission held that the “for any other reason” clause “extends to a notice of intention to file a case with the Commission” because “such a protection is consistent with statutory language and the Commission’s guidance.” 2024 WL 4034610, at *16.

2. As in *OJ Commerce*, BBY sent OOCL two notices of potential Shipping Act claims that were not “offhand bluster or idle threats”.

BBY’s two demand letters “served essentially the same purpose” of “putting [OOCL] on notice of [BBY’s] claims and providing an opportunity to resolve them before more formal litigation.” *OJ Commerce*, 2024 WL 4034610, at *19. BBY’s October 18, 2021 letter to OOCL:

1. Was signed by BBY’s Director of International Supply Chain, Patrick Hackett, at the direction of BBY management, ID at ¶ 256 (quoting Hackett’s deposition transcript [APP-829]);
2. Alerted OOCL to “something that was of grave concern”, (*id.*);
3. Warned OOCL that ““the actions of your company in assessing the charges in question is not in the spirit of the Federal Maritime Commission’s guidance””, ID at 164 (quoting the October 2021 letter [APP-2936]); and
4. Formally placed OOCL ““on notice”” that BBY expected to ““be exempt from detention and demurrage charges that are not proven to be caused by our actions,”” and to receive ““a full refund of all such charges.”” *Id.*

BBY’s February 9, 2022 letter is, expressly, a follow-up to the October 2021 letter—a second notice in an escalating written record of Shipping Act grievances that OOCL failed to redress.⁵⁰ That letter renewed and escalated those same claims by invoking the October 2021 letter by date and subject; recounting BBY’s demand “to be reimbursed for past charges and exempted from future charges”; charging that “OOCL’s response has been to change nothing, and to continue to act in a manner detrimental to BBB which we believe to be unfair and unsupportable”; and broadening BBY’s grievances to encompass OOCL’s other “operational actions.” ID at 164–65.

The ID correctly concluded that the threats in BBY’s letters are “more similar to the letter in *OJ Commerce* than to offhand bluster or idle threats.” ID at 167. A letter signed by a director at management’s direction, asserting violations of FMC standards, placing the carrier “on notice,”

⁵⁰ The February 2022 letter cannot be read in isolation, as OOCL would have it, simply because the FMC is not re-named within its four corners. Exceptions at 51–52.

demanding refunds, and followed later by a second letter documenting the carrier's refusal to change course cannot be plausibly dismissed as "offhand." *OJ Commerce*, 2024 WL 4034610, at *17. Nor was BBY's threat to engage the Commission "idle", as this very litigation shows.

3. No "mind reading" was required: the letters' text, and OOCL's own written reactions, demonstrate that OOCL viewed the letters as an indication of legal exposure.

Contrary to OOCL's protestations, the ID's retaliation conclusions did not rely on "intuit[ing] without evidence" an implicit threat or "mind reading . . . as to how the letter could have been perceived by OOCL employees", (Exceptions at 52), but instead on a conventional reading of the letters' text: two written notices asserting that the OOCL's charges contravene "the Federal Maritime Commission's guidance," "putting OOCL on notice," and demanding full refunds conveys, on its face, that BBY was positioning itself to involve the Commission if OOCL did not relent. ID at 166 ("Thus, there was an implied threat").

Moreover, the Presiding Officer did not need to "infer" OOCL's interpretation of BBY's letters because OOCL reduced to writing its own perception of BBY's October 18, 2021 letter as a threat within forty-eight hours of receiving it. On October 20, 2021, OOCL USA's Vice President of Sales, Vincent DelPrete, wrote internally of BBY as to its letter: "Then **report you to the authorities** when you don't bow down?!"⁵¹ and proposed in the same email the "[s]imple solution" of "**cut[ting] back [BBY's] bookings**", declaring that BBY had "**jumped to head of the class for deselection.**" ID at 165 (emphasis added).⁵² The next day, OOCL employee Paul Devine wrote to colleagues that "[t]hese are the same folks behind the **threatening** DD letter, dated 18 Oct." ID at 166 (quoting OOCL email [APP-3251]) (emphasis added). OOCL leadership later

⁵¹ DelPrete testified in his deposition in this case that by "the authorities" he meant the FMC. ID at 168.

⁵² Consistent with that contemporaneous perception, DelPrete later testified that BBY's letter was "**threatening in terms of that they might try to create some legal case based on this**". ID at 165–6 (quoting DelPrete's deposition transcript [APP-345]) (emphasis added).

reported that OOCL had “*been trying to settle the Letter quietly with BBB to avoid any potential complaint to the FMC / DOJ*”, (ID at 172 (quoting OOCL email [APP-3195]) (emphasis added)), with OOCL’s Trade commercial director conceding that reducing BBY’s space commitment “given the backdrop of BBB’s complaining letter” would “*generate a perception OOCL being retaliatory which is very eye-catching on FMC’s radar*”. ID at 173 (quoting OOCL email [APP-2960]) (emphasis added). There is no “mind reading” involved in taking a company at *its own* contemporaneous written words. ID at 167 (“[T]he reaction by OOCL to the letter clearly shows that they interpreted the letter as a threat.”).

4. The signatory’s after-the-fact recollection of his personal intent does not strip BBY’s letters of protection.

BBY employee Patrick Hackett’s subjective, years-after-the-fact recollection does not change the ID’s conclusions that BBY intended its letters to threaten OOCL with FMC action. Hackett was not responsible for BBY’s legal or litigation decisions, (ID at 165), and as a mere signatory his private impressions do not reflect BBY’s corporate purpose in its counsel-drafted demands to OOCL.⁵³ BBY chose to put OOCL on notice and threatened regulatory recourse deliberately framed in the FMC’s own terms. BBY intended it as such; OOCL took it as such. Nothing more is required. *See OJ Commerce*, 2024 WL 4034610, at *18–19 (“a notice of intention to file a case with the Commission does not mean a complaint is valid and the carrier can always ensure that their conduct does not violate the Shipping Act. Instead, . . . it starts a conversation that can avoid complaints to the Commission.”); ID at 168.⁵⁴

⁵³ OOCL *twice cites the record incorrectly* that Hackett wrote BBY’s October 2021 letter, *see* Exceptions at 51, 53, when Hackett testified—and the ID plainly recognized—that, in fact, BBY’s legal team wrote that letter and that Hackett merely *signed* it. ID at ¶ 256 (“This letter was actually, if I recall, written by our attorneys, and I was directed by my management to sign it.”).

⁵⁴ Nor does it matter that Hackett “sent this exact letter out to every carrier that [BBY was] doing business with.” Exceptions at 52–53. That fact simply confirms the letter’s seriousness: BBY systematically raised Shipping Act-grounded claims against carriers engaged in similar conduct—and, as BBY’s several complaints filed before this Commission confirm, those assertions were not idle.

5. OOCL inverts the statute by dismissing the recipient's interpretation.

Protesting that it would be “passing strange” to determine protected activity “by reference to what the recipient might have thought”, Exceptions at 52, 52 n.179, OOCL inverts and ignores the explicit *letter and purpose* of the Shipping Act’s anti-retaliation protections, which exist because carriers “so completely dominate the shippers” that shippers otherwise could not “afford, for fear of retaliation,” to air their grievances openly. *OJ Commerce*, 2024 WL 4034610, at *19; *see also* Statement, 3 F.M.C.2d at 201 (shippers should “feel free to air their grievances to the Commission”). Retaliation liability thus turns on causation: OOCL must have acted “because” BBBY engaged in protected activity. OOCL’s perception of BBBY’s conduct (interpreting BBBY’s demand letters as a threat to involve the FMC) is therefore indispensable to whether OOCL’s ensuing response to that conduct (prioritizing BBBY for “deselection”) constitutes retaliation, whatever individual BBBY employees’ private state of mind may have been. Here, the ID correctly found that it does.⁵⁵

6. The *Samsung* and *BBBY v. MSC* decisions confirm the Initial Decision.

OOCL relies heavily on two decisions by the Commission’s ALJs, but neither is persuasive, as both were rulings on motions to dismiss, decided on the pleadings alone without an evidentiary record, and neither contains any detailed analysis of the Commission’s decision in *OJ Commerce*. *See* ID at 167; Exceptions at 53 & nn.183–84.

- In *Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, ALJ Chintella expressly acknowledged the governing rule that OOCL now resists: “a threat to file a complaint with the Commission constitutes protected activity.” FMC Dkt. No. 24-17, 2024 WL 4893409, at *10 (FMC ALJ Nov. 18, 2024). The *Samsung* claim was dismissed only because there was “no allegation of such a threat anywhere in the complaint,” which

⁵⁵ As to OOCL’s rhetorical question about whether the Commission should not “prefer carriers to take reasonable steps to address their customers concerns”, Exceptions at 52 n.179, OOCL was entirely free to do so (and, as the record amply reflects, chose not to). What OOCL was not free to do was respond to BBBY’s letter, within two days, by proposing to “cut back their bookings” and moving BBBY to the “head of the class for deselection.” ID at 165, 168 (quoting OOCL emails [APP-3245]).

described nothing more than a demand letter as to unspecified “unlawful charges” that “invited OOCL to respond in a substantive manner.” *Id.*; accord *Samsung Elecs. Am., Inc. v. HMM Co.*, FMC Dkt. No. 24-23, 2025 WL 992387, at *11 (FMC ALJ Mar. 24, 2025) (same holding, same pleading defect). The *Samsung* complaint missed key showings present here: namely, multiple letters expressly invoking the FMC and placing the carrier “on notice” and—crucially—the carrier’s own contemporaneous written acknowledgments that it perceived the letters to be a threat of legal action involving the FMC.

- The second order OOCL invokes, *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 23-12, 2024 WL 1299768 (FMC ALJ Mar. 25, 2024) (“*BBBY v. MSC*”)—another (now-settled) Commission proceeding brought by BBBY—is even weaker for OOCL. That order was issued in March 2024—five months *before* the Commission decided *OJ Commerce*—and thus without the benefit of the Commission’s controlling interpretation of the phrase “any other reason” in the former 46 U.S.C. Section 41104(a)(3). It, too, was a pleading-stage ruling and held only that the complaint did “not plead facts that demonstrate” a threat, and expressly declined to address the remaining elements of the retaliation claim. *Id.* at *5.⁵⁶

Here, the ID weighed the record—including BBBY’s repeated, formal written notices invoking the FMC and demanding relief, which OOCL explicitly understood and treated as a threat of Commission action—to find that BBBY’s letters fall within the “class” of activity protected under the former 46 U.S.C. Section 41104(a)(3) as genuine preliminary steps putting OOCL “on notice” that BBBY would bring claims to the Commission—the very claims that resulted in the ID here. That is well within *OJ Commerce* and the Statement’s discussion of protected activity. The Commission should decline OOCL’s invitation to weaken the express letter and Congress’s clear intent with respect to the activities protected from carrier retaliation.

B. The Initial Decision’s well-supported findings of retaliatory conduct stem from OOCL’s own contemporaneous records.

The former 46 U.S.C. Section 41104(a)(3), now codified at 46 U.S.C. Section 41102(d), prohibits “refusing, or threatening to refuse, cargo space accommodations when available,” and “resort[ing] to other unfair or unjustly discriminatory methods.” “[R]efusing to sign a service

⁵⁶ ALJ Crovella also specifically noted the pendency of exceptions in *OJ Commerce*, which would clarify the Commission’s position on retaliation, while noting “a threat to invoke Commission procedures”—such as BBBY’s letters to OOCL—*could* suffice to constitute protected activity, even if ordinary customer complaints might not. *Id.*

contract that guarantees cargo space and rates is a form of refusing cargo space accommodations.” *OJ Commerce*, 2024 WL 4034610, at *14. The catchall language in the statute is not limited to conduct designed to stifle outside competition where, as here, the retaliation claim is based on complaint-related activity. Statement, 3 F.M.C.2d at 208 (discussing *FMB v. Isbrandtsen Co.*, 356 U.S. 481 (1958)). And because the statute’s prohibitions against retaliation “are meant to be read broadly,” a “respondent should not escape liability by engaging in a partial shutout.” ID at 173. The ID correctly found that OOCL retaliated in three ways: (1) cutting back BBY’s bookings during the 2021–22 shipping year; (2) reducing BBY’s MQC by 17% and quoting above-market rates in the negotiations for the parties’ 2022–23 shipping year service contract; and (3) refusing to restore rates to market levels during the 2022–23 shipping year. ID at 169–79. Each finding rests on OOCL’s own documents.

1. The 17% MQC reduction targeted BBY.

OOCL’s central factual claim—that it “equally applied a 17% reduction in MQC to all BCOs,” Exceptions at 54, rests entirely on self-serving deposition testimony and a made-for-litigation affidavit that are contradicted by what OOCL itself wrote at the time of the illegal conduct.⁵⁷ The ID considered and found Karen Lam’s recitation in her litigation affidavit of generic negotiating “factors” to be “not consistent with the contemporaneous evidence” and “not credible.” ID at 170. Indeed, the contemporaneous evidence tells a single, coherent story that fully supports the findings of the ID and refutes OOCL’s *post hoc* revisionism.

First, on February 22, 2022, when OOCL’s Trade commercial director, Marvic Chen, first proposed reducing BBY’s MQC, he said nothing about any across-the-board policy. Instead, he cited BBY-specific grounds—“BBB’s inability to manage their supply chain efficiently”—and

⁵⁷ OOCL’s Exceptions to the ID’s findings and conclusions as to BBY’s Count IV claims should be rejected for the same reasons. *See* Exceptions at 59–60.

framed the cut as something OOCL “would like” to impose “if BBB would accept our rates and BP revision for renewal.” ID at 171 (quoting OOCL email [APP-1870-71]). Chen then probed whether OOCL’s commitment to roll over BBY’s MQC had been reduced to writing: “Did we officially commit to rolling over MQC to BBB in written? If not, we still have chance to reduce MQC before we renew.” ID at 171 (quoting OOCL email [APP-2962]). If OOCL had truly planned a global reduction, none of this detail would have been necessary or even relevant.

Second, OOCL’s own account manager for BBY, Thomas Schmiemann, resisted the proposed reduction because OOCL had already “verbally committed several times” to roll over BBY’s MQC, warning: “I would also be concerned with the perception *from a retaliatory standpoint.*” ID at 171 (quoting OOCL email [APP-2961-62]) (emphasis added). *Only then* did Chen invoke a purported headquarters directive “to reduce contract MQC at least 17% to every customers [*sic*], not to mention BBB who primarily supports coastal cargo.” ID at 173. In the same exchange, though, Chen conceded the link to BBY’s protected activity: “reducing space commitment is so sensitive given the backdrop of BBB’s complaining letter, and *it will generate a perception OOCL being retaliatory which is very eye-catching on FMC’s radar.*” ID at 173 (quoting OOCL email [APP-2960]) (emphasis added).

Third, OOCL’s Regional Business Analyst, Donna Forminio, corrected the record in real time: “*There was no instruction to reduce every account by 17%* just our region total to be reduced. We have to be able to make the choice of who to reduce and who to maintain as long as we reduce overall”. ID at 173 (quoting OOCL email [APP-3077]) (emphasis added). Forminio emphasized the pretextual nature of Chen’s comment, writing that Chen’s “comment to reduce every customer volume by 17% *was not right he was just using it as justification to reduce BBB.*” ID at 173 (quoting OOCL email [APP-3077]) (emphasis added). OOCL employee Mike Young

likewise described a BBY-specific reduction—“the notation from Trade that *we must reduce the MQC commitment for BBB by 17%*”—in the very message reporting that OOCL was “*trying to settle the Letter quietly with BBB to avoid any potential complaint to the FMC / DOJ*” and worrying that “*BBB will perceive that we are retaliating against them.*” ID at 172 (quoting OOCL email [APP-3195]) (emphasis added). OOCL fails to identify a single contemporaneous document imposing a uniform 17% per-customer reduction, and its witnesses conflict on that point.

OOCL ignores this record, instead re-offering Chen’s self-serving deposition testimony and dismissing Forminio’s contemporaneous emails as mere “opinion.” Exceptions at 54–55. But OOCL’s quoted deposition passage indicates that the “17%” was a *regional* target over which OOCL retained discretion to “increase somebody and take somebody else down.” Exceptions at 55. OOCL chose whom to cut—and explicitly, specifically chose BBY after branding BBY’s letter “threatening” and nominating BBY to the “head of the class for deselection,” over the written objections of OOCL’s own account manager and business analyst. *See* ID at 160–68. The ID correctly found a compelling inference of retaliation where OOCL retained discretion and exercised it against the one shipper (BBY) that had just engaged in protected activity. ID at 173–74 (“the evidence of retaliation is stronger than the evidence of concern over the financial viability of BBY”); *id.* ¶ 285.

2. OOCL’s above-market rates were retaliatory, and OSRA 1998 is no defense.

OOCL argues that the Ocean Shipping Reform Act of 1998, Pub. L. No. 105-258, 112 Stat. 1902 (1998) (“OSRA 1998”) permits carriers to offer different service contract terms to similarly situated shippers, *see* Exceptions at 55–56, which the ID accepted: “there are many legitimate transportation factors that justify charging different rates.” ID at 170; *see Global Link Logistics, Inc.*, 2014 WL 5316345, at *22. But contractual freedom is not a license to retaliate. ID at 170

(“that does not mean that carriers can retaliate or violate other sections of the Shipping Act.”). The question is not *whether* OOCL could lawfully quote BBY rates different from those quoted to others; but instead *why* OOCL quoted the rates that it did. The ID answered that question by citing OOCL’s own documents that, as shown above, all came after OOCL chose to prioritize BBY for deselection upon receiving BBY’s threatening letters.⁵⁸

The Lam affidavit’s generalities about the many variables in rate negotiations, *see* Exceptions at 56, do not blunt these admissions, because the comparison to “other shippers with similar SC MQC” was drawn contemporaneously by OOCL’s own personnel—not constructed by BBY for this litigation. The ID reasonably found that OOCL “intentionally quoted a reduced MQC and rates so far above market that they cannot be considered a good faith offer or negotiation,” in the hope that BBY would walk away from OOCL. ID at 161; *see also* ID at 174–75.

3. References to BBY’s financial condition were mere pretext, as the timeline and OOCL’s own emails show.

The chronology alone defeats OOCL’s remaining defense seeking to invoke concerns about BBY’s solvency to shield its conduct. *See* Exceptions at 56–58. OOCL’s retaliatory decisions—the 17% MQC cut and the above-market offers OOCL refused to modify—were made and held firm at least as of *February and March 2022*. The first Financial Control warning regarding BBY that OOCL cites is dated *April 11, 2022*, and arrived only *after* OOCL was “ready to send the final 2022-2023 contract draft to BBB for signing.” ID at 175. Thus, as the ID explained,

⁵⁸ *See, e.g.*, ID at 174 (quoting internal emails that OOCL had “offered rates for [BBY’s] 7000T contract offer around 1000-1500 above the rates quoted to other shippers with similar SC MQC,” that when BBY sought parity “[t]rade declined and stuck to the initial offered rates,” and that this conduct “may potentially be construed that we are retaliating and holding our position to limit our carrying with BBB”); ID at 175–76 (quoting email from OOCL employee James Mitchell there was “no need to reach out to Bed Bath & Beyond as our rates are *purposely* higher than what they will ship against”) (emphasis added); ID at 177 (quoting email from OOCL employee Schmiemann that “My concern is that we are openly out in the mkt offering both NVO’s and BCO’s rate that are thousands of dollars below BBB rates. The FMC may view OOCL as discriminating against BBB if a complaint was filed”) (emphasis removed).

OOCL’s financial concerns “do not surface until late April 2022 as the 2022-23 service contract negotiations were ending,” “did not appear to impede finalizing the agreement,” and the evidence “does not show that they influenced contract negotiations.” ID at 174–75. Chen’s February 2022 emails proposing the MQC reduction likewise “made no reference to BBY financials.” ID at 175.

As to OOCL’s refusal to reduce BBY’s rates during the 2022–2023 shipping year, specifically, the ID recognized that genuine credit concerns have genuine credit solutions—cash-on-documents terms, credit limits, restrictions on extending credit—and that “[n]either of these credible concerns suggested charging above-market rates or not working with BBY.” ID at 178.⁵⁹

As for *Global Link*, the principle that a carrier need not renegotiate agreed rates when the market falls presupposes that rates were offered and agreed to in good faith in the first place. Here, “the initial agreed prices in the 2022 service contract were not entered into in good faith and OOCL’s decision to uphold, and not to reduce, those unreasonable rates similarly was not in good faith,” so that “continuing to charge rates that OOCL entered into in retaliation was also retaliatory.” ID at 179. The Commission should adopt the ID’s rejection of OOCL’s pretextual excuse.

4. OOCL’s remaining points are makeweight.

OOCL claims that “no evidence exists that BBY was actually prioritized for deselection” or that its bookings were cut. Exceptions at 54 n.190. But the ID found, irrefutably, that OOCL fell significantly short of its 2021–22 shipping year MQC commitment, *see* ID at 187–88, and that the post-threat letter “decline in [BBY’s] bookings was motivated not just by an unreasonable booking system but also as retaliation for the October 2021 letter and not for legitimate reasons.” ID at 170. DelPrete’s October 2021 email explicitly described the “[s]imple solution” that followed.

⁵⁹ OOCL’s excuse was contemporaneously rejected in December 2022 by OOCL’s own employees. Schmiemann wrote “[i]f we are so concerned over their financial position why are we charging them exorbitant rates compared to the mkt levels.” ID at 178 (quoting OOCL email [APP-2989-90]) (emphasis added).

And Schmiemann’s counsel of patience two days after BBY’s threat letter —“don’t know [if] we want to jump to deselection yet”—confirms that deselection was already *actively* on the table, not that it was rejected. ID at 170. Mitchell even warned that “*we could be open to FMC scrutiny for retaliatory pricing.*” ID at 176 (quoting OOCL email [APP-2979]) (emphasis added).

Finally, OOCL deliberately sought to hide its retaliation through its last-minute offer of additional cargo space in March 2022. *See* Exceptions at 58. Internal emails show OOCL extended the offer with the expectation that BBY could not meaningfully use it: “We are offering extra space but it’s doubtful BBB will be able to use it,” ID ¶ 278 (quoting OOCL email [APP-3317])—an assessment OOCL’s own meeting minutes tied to BBY being “in between [shipping] seasons,” ID ¶ 281 (quoting OOCL email [APP-3318]). An offer of space OOCL expected to go unused, made under a soon-to-be expiring contract, fails to address retaliatory conduct the ID found: the booking cutbacks that preceded the offer, and the reduced MQC and punitive rates that followed it. Indeed, that offer *advanced* OOCL’s ruse by burying OOCL’s retaliation in asymmetric annualized data.

The ID’s finding of retaliation by OOCL against BBY rests on the statute’s text, the Commission’s controlling decision in *OJ Commerce* and its Statement, and OOCL’s own contemporaneous admissions. The Commission should overrule OOCL’s exceptions to the ID’s finding on retaliation, and adopt the ID’s conclusion that OOCL violated the former 46 U.S.C. Section 41104(a)(3).

CONCLUSION

For the reasons stated above and in the Presiding Officer’s well-reasoned Initial Decision, Complainant respectfully requests that the Commission reject each of OOCL’s Exceptions.

Dated: July 23, 2026

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document and its exhibit upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document and its exhibit to their counsel of record listed below:

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